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March 11, 1999

To: Members of the Executive Board

From: The Secretary

Subject: **Zambia—Staff Report for the 1998 Article IV Consultation and Request for Arrangements Under the Enhanced Structural Adjustment Facility**

Attached for consideration by the Executive Directors is the staff report for the 1998 Article IV consultation with Zambia and its request for arrangements under the Enhanced Structural Adjustment Facility. A draft decision appears on page 26. This subject, together with the policy framework paper for Zambia (EBD/99/42, 3/11/99), will be brought to the agenda for discussion on a date to be announced.

Mr. van Til (ext. 38386), Mr. Harmsen (ext. 38531), or Mr. Almekinders (ext. 34281) is available to answer technical or factual questions relating to this paper prior to the Board discussion.

Unless the Documents Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Friday, March 19, 1999; and to the African Development Bank and the European Commission, following its consideration by the Executive Board.

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INTERNATIONAL MONETARY FUND

ZAMBIA

**Staff Report for the 1998 Article IV Consultation
and Request for Arrangements
Under the Enhanced Structural Adjustment Facility**

Prepared by the African Department

(In consultation with the Fiscal Affairs, Legal, Monetary and Exchange Affairs, Policy Development and Review, Statistics, and Treasurer's Departments)

Approved by G.E. Gondwe and Thomas Leddy

March 10, 1999

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Acronyms

BoZ	Bank of Zambia
CEC	Copperbelt Electricity Consortium
ESAF	Enhanced Structural Adjustment Facility
HIPC Initiative	Initiative for Heavily Indebted Poor Countries
IDF	Import declaration fee
MEFP	Memorandum of economic and financial policies
MMD	Movement for Multiparty Democracy
PFP	Policy Framework Paper
PIN	Public Information Notice
PWAS	Public Welfare Assistance Scheme
SAF	Structural Adjustment Facility
VAT	Value–added tax
ZAMPOST	Zambia Post
ZAMTEL	Zambia Telecommunications Company
ZANACO	Zambia National Commercial Bank
ZCCM	Zambia Consolidated Copper Mines
ZCI	Zambia Copper Investments Limited
ZESCO	Zambia Electricity Supply Company
ZNOC	Zambia National Oil Company
ZPA	Zambia Privatization Agency

EXECUTIVE SUMMARY

Background

- Real GDP contracted by an estimated 2 percent in 1998, as copper production declined sharply and agriculture was affected by El Niño. Higher food prices, coupled with the pass–through effects of the sharp depreciation of the kwacha, led to an acceleration in consumer price inflation to an annual rate of 31½ percent in January 1999, up from 18½ percent in December 1997.

- The 1998 budget outcome was weaker than planned, with an overall fiscal deficit of 4 percent of GDP, as against a target of 1 percent, reflecting importantly the shortfall in program grants. Despite higher inflation, domestic revenue was more than 4 percent below budget estimates, and expenditure overruns occurred in wages, public service retrenchment, and the settlement of domestic arrears.

- The external position weakened considerably in 1998, reflecting the loss of confidence because of protracted delays in the privatization of the copper parastatal (ZCCM), lower exports, the withholding of donor assistance, and intermittently inappropriate monetary policies. The kwacha depreciated by 39 percent, and international reserves fell by US$170 million to US$44 million at end–1998 (less than two weeks of import cover).

- Further progress was made on the privatization of parastatals in the nonmining sector in 1997–98. Also, most of the smaller asset packages of ZCCM were sold, and a preliminary agreement was reached on the sale of the largest packages. Under the civil service reform program, 15,500 public servants were separated.

The program for 1999

- The program for 1999 aims to achieve real GDP growth of 4 percent; reduce inflation to 15 percent; and strengthen net international reserves by US$73 million.

- Financial policies will be geared toward reducing inflation and supporting growth. The program aims at reducing the overall fiscal deficit by 1 percent of GDP, firmly controlling the money supply, and maintaining positive real interest rates.

- Key structural reforms in 1999 relate to (i) the completion of the privatization of ZCCM; (ii) the divestiture of other major state–owned enterprises, including the telecommunications company (ZAMTEL), the petroleum distribution company (ZNOC), and Zambia Railways; and (iii) the retrenchment of an additional 7,000 public servants.

Staff position

- In the past year, Zambia's economic performance suffered major setbacks, which significantly weakened the economy and eroded some of the gains achieved under the government's adjustment program.

- Macroeconomic stabilization policies in 1999 will need to be underpinned by a strong fiscal adjustment effort, notwithstanding the substantial fiscal costs associated with the privatization of ZCCM.

- Steadfast implementation of the program for 1999 should restore private sector confidence and lay the basis for sustained economic growth over the medium term.

I. Introduction

1. The 1998 Article IV consultation discussions, together with negotiations on an economic and financial program for 1999–2001, were held in Lusaka during November 24–December 8, 1998.[1]

2. On December 6, 1995, the Fund approved a three–year arrangement under the Enhanced Structural Adjustment Facility (ESAF) in an amount equivalent to SDR 701.7 million and a one–year arrangement under the Structural Adjustment Facility (SAF) in an amount equivalent to SDR 181.7 million (with a combined commitment equivalent to 243 percent of quota) (Table 1). The first annual arrangement under the ESAF and SAF amounted to SDR 843.4 million, of which SDR 833.4 million was disbursed in December 1995 and, upon conclusion of the midterm review, SDR 10 million in March 1997 (Table 1). Board presentation of a second annual ESAF arrangement could not go forward because several prior actions could not be completed, including, inter alia, the implementation of a survival plan for the financially troubled copper parastatal (ZCCM). In the event, the three–year ESAF arrangement expired on December 5, 1998.

3. In the attached letter dated March 10, 1999, the government of Zambia is requesting a new three–year arrangement under the ESAF in an amount equivalent to SDR 254.45 million (52 percent of the new quota)[2] in support of a financial and economic program for the period January 1, 1999 to December 31, 2001. The objectives and policies under the program are described in the memorandum of economic and financial policies (MEFP) (Appendix I, Attachment I) and the updated PFP (EBD/99/42).

4. In concluding the 1997 Article IV consultation on October 8, 1997 (SM/97/226; 8/29/97), Executive Directors emphasized that a strengthened and more sustained policy

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[1]The Zambian representatives included the Honorable E.W. Nawakwi, Minister of Finance and Economic Development; Dr. J. Mwanza, Governor of the Bank of Zambia; Professor B. Mweene, Secretary to the Treasury; other senior government officials; and representatives from the private sector. The staff team comprised Messrs. van Til (head), Harmsen, Almekinders, Matovu (EP) (all AFR), Tareen (PDR), and Kell (FAD). Mr. Meyers, the Resident Representative in Lusaka, participated in the discussions. The mission, together with a concurrent World Bank mission, assisted the authorities in the preparation of an updated policy framework paper (PFP) for 1999–2001.

[2]The proposed access under the successor arrangement is below the standard 65 percent, as the amount of Zambia's outstanding liabilities to the Fund is already high. If unforeseen shocks occur during the program period, there would be room for augmentation of access, even within the normal limits. The proposed phasing of disbursements—SDR 40 million in the first year, SDR 40 million in the second, and SDR 174.45 million in the third year—takes into account Zambia's debt–service obligations in the coming years.

implementation was critical to promoting macroeconomic stability. They accorded high priority to addressing deficiencies in budgetary management and underscored the importance of reducing the size of the civil service, which was essential for enhancing the efficiency of the public sector and controlling the wage bill. Directors also called for a speedy finalization of the privatization of the ZCCM and urged the authorities to press ahead with the privatization of other parastatals, including the public utilities.

5. A Consultative Group meeting was held in May 1998, during which donors stressed in particular the urgency of a speedy privatization of the ZCCM. Donors also expressed concerns about governance issues, including (i) the alleged human rights violations in connection with police investigations of suspected coup plotters; (ii) inadequate funding of independent commissions on human rights, drug enforcement, elections, and anticorruption; and (iii) the lack of a meaningful dialogue between the government and the opposition parties. Bilateral donors continued to withhold balance of payments assistance in 1998.

6. Municipal elections were held on December 30, 1998, with a turnout of only 14 percent of eligible voters. The ruling Movement for Multiparty Democracy (MMD) retained its majority in most of the municipalities. Social unrest has emerged lately, with recent strikes of teachers, miners, and employees of the electricity company (ZESCO) over delays in wage payments.

7. Although the quality of Zambia's economic and financial statistics has improved during the past year, especially the consistency between monetary and budgetary data, a further strengthening is needed, including in national accounts, balance of payments, and debt statistics. Data reporting should also be strengthened in the fiscal area, especially on external debt service and public investment projects.[3]

8. Zambia's relations with the Fund and the World Bank Group are summarized in Appendixes II and III, respectively. The medium–term prospects and an updated debt sustainability analysis are presented in Appendix IV, statistical issues are discussed in Appendix V, and social and demographic indicators are contained in Appendix VI.

II. Background and Recent Economic Developments

9. **In 1998, the Zambian economy suffered serious setbacks, owing to the delays in the privatization of the ZCCM and adverse external developments, including the pronounced fall in copper prices, unfavorable weather conditions, and the armed conflict in the Democratic Republic of Congo.** The sharp downturn in exports and the deterioration in the financial position of the ZCCM slowed overall economic activity and exerted a strong downward pressure on the exchange rate, while inflation accelerated. The

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[3]Recently, a World Bank mission has provided technical assistance on external debt statistics.

depreciation of the kwacha was exacerbated by the loosening of monetary policy in late 1997 and early 1998. While the fiscal policy stance was restrained during most of the year, it weakened significantly during the last few months of 1998,[4] thereby adding to inflationary pressures.

10. **Real GDP contracted by an estimated 2 percent in 1998, as against a growth of 3½ percent in the previous year** (Tables 2 and 3, and Figure 1). The sharp decline in copper production reflected the dilapidated state of the mining sector, as well as the problems the ZCCM encountered in securing essential imports because of the accumulation of sizable payments arrears to suppliers. The agriculture sector experienced for the second year in a row a substantial downturn, with agricultural GDP falling by an estimated 6 percent. The maize crop was seriously affected by El Niño–related droughts and floods during the 1997/98 crop season (November–May), although some other food and cash crops (including cassava, sweet potatoes, and cotton) performed well (Box 1). Notwithstanding the generally depressed state of the economy, the **manufacturing sector** recorded a growth of 3 percent in 1998, and tourism was positively affected by the privatization of lodging facilities and the establishment of several new airlines. Consumer price inflation accelerated considerably in 1998, reflecting importantly the impact of rising food prices[5] and the pass–through effects of the depreciation of the kwacha.[6]

11. **The delays in the privatization of ZCCM's main asset packages, initially expected in March 1998, and the decline in metal sales have led to a further deterioration in the financial position of the ZCCM.**[7] The ZCCM's monthly operational losses averaged US$9 million during April 1998–January 1999, almost one–fifth of the turnover, and total domestic and external payments arrears rose to US$165 million by end–January 1999,[8] up from US$93 million at end–1997. To ease the tight cash–flow situation, the ZCCM contracted about US$90 million in foreign short–term government–guaranteed loans during the second quarter of 1998, which, in addition to the revenues from the sale of the smaller asset packages (US$70 million), have enabled the company to stay afloat during the past few months.

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[4]Owing mainly to the clearance of domestic arrears.

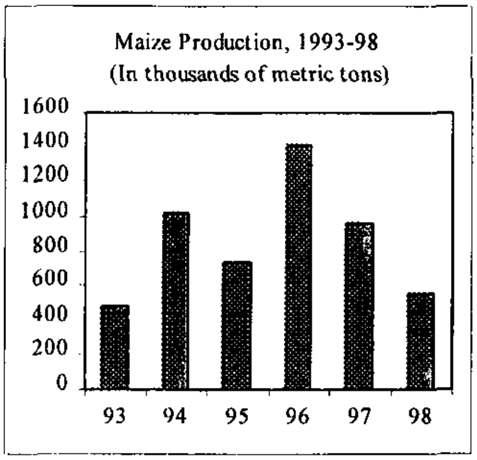
[5]E.g., maize prices rose by 57 percent in 1998.

[6]Staff estimates indicate that 50 percent of the depreciation is reflected in increased prices after two quarters, while in the longer run this share rises to 70 percent.

[7]The company's operational loss in the financial year ended March 31, 1998 amounted to about US$175 million (more than 4 percent of GDP), as against US$155 million in 1997 and US$25 million in 1996.

[8]ZCCM's long–term debt of US$392 million, mainly to Paris Club creditors, is being served by the government under the terms of government guarantees.

Box 1. The Effects of El Niño



El Niño-related floods and droughts during the 1997/98 crop season (November-May) reduced the maize crop—the main staple food—as well as the production of sorghum and rice. Although other food crops (wheat, cassava, and sweet potatoes) and cash crops (such as tobacco, coffee, and cotton) held up well, agricultural GDP is estimated to have declined by 6 percent in 1998. The Food and Agriculture Organization has projected the national cereal deficit for the period May 1, 1998 through April 30, 1999 at about 660,000 tons, or about 45 percent of total needs. The government has asked donors for food aid this year, which could reach some 55,000 tons. The remainder will need to be covered by imports on commercial terms by domestic millers, international traders, and the Food Reserve Agency. Most of this food has been imported during the last quarter of 1998 and the first quarter of 1999. At an estimated import price (c.i.f.) of US$200 per ton, the total value of additional commercial food imports during the 1998/99 marketing season will amount to an estimated US$110 million.

Marketed Agricultural Output, 1996-98
(In thousands of metric tons)

	1996	1997	1998
Maize	668.1	314.6	182.3
Tobacco	3.8	4.4	9.0
Groundnuts	14.7	17.6	24.2
Seed cotton	40.8	74.6	100.0
Soya beans	37.6	23.1	13.1
Sorghum	7.0	5.1	3.9

Cereal Supply/Demand Balance, 1998/99 (November-May)
(In thousands of metric tons)

	Maize	Sorghum/ Millet	Rice 1/	Wheat	Total Cereals
Total availability	628	85	5	96	814
Production	548	84	4	71	707
Stocks	80	1	1	25	107
Total utilization	1,224	85	28	137	1,474
Food	1,044	67	27	113	1,251
Other uses and losses	140	16	0	4	160
Closing stocks	40	2	1	20	63
Import requirements	596	0	23	41	660

Source: Food and Agriculture Organization/World Food Program.
1/ Rice in milled form (at conversion rate of paddy to milled of 0.67).

12. **The 1998 budget outcome deviated in important respects from plans, reflecting, inter alia, a much weaker economy, shortfalls in external assistance, and continued weaknesses in budget management** (Tables 4 and 5). Thus, instead of narrowing to 1 percent of GDP, the overall fiscal deficit widened to more than 4 percent of GDP, reflecting importantly the withholding of external program grants in 1998 (3½ percent of GDP). Notwithstanding much higher inflation, domestic revenue was more than 4 percent below budget estimates, owing to the sizable accumulation of tax arrears,[9] weak performance in import value–added and excise taxes, and disappointing collection of nontax revenue. Domestic expenditure exceeded the budgetary provisions by 4½ percent, mainly on account of higher–than–expected outlays for wages, public service retrenchment,[10] and the settlement of domestic payments arrears;[11] these higher outlays were partially offset by cuts in investment outlays. The contingency reserve included in the budget for 1998 covered most of these revenue shortfalls and expenditure overruns.

13. The government granted in September–October 1998 a number of ad hoc exemptions on import duties and import value–added tax (VAT) to the National Assembly and five companies, including the ZCCM and ZESCO, further contributing to the weak revenue performance. As the resulting revenue loss[12] and the potential cost of new exemptions could seriously undermine the integrity of the tax base, the government decided to revoke the exemptions of four companies in December 1998, but maintained them for the ZCCM. It was also decided at that time to limit the exemptions granted to the National Assembly to goods imported through it for official use.

14. **Notwithstanding indications of rising inflation, the Bank of Zambia (BoZ) relaxed its monetary policy stance in late 1997 and early 1998 through a lowering of interest rates and reserve requirements.**[13] Rising inflation, a weakening of the kwacha, and

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[9]Tax arrears accumulated in 1998 are estimated at K 70 billion (6 percent of tax revenue).

[10]Of the planned retrenchment of 23,500 employees, a total of 15,500 was realized in 1998, at about a 30 percent higher cost per employee than envisaged. While the 1998 budget had incorporated only K 20 billion of domestic resources for this purpose, with the bulk of the financing expected from donors, domestic spending on retrenchment amounted to K 77 billion.

[11]A recent audit of domestic payments arrears revealed that the total amount outstanding at end–1997 was equivalent to K 95 billion, instead of the K 35 billion assumed earlier. In addition, new payments arrears of at least K 44 billion were accumulated in 1998.

[12]Forgone revenue relating to the exemptions for the five companies was projected at K 150 billion in 1999 (almost 2 percent of GDP).

[13]Average interest rates on BoZ lending to commercial banks fell in 1997 by 40 points to

(continued...)

negative real interest rates stimulated capital outflows and a shift into foreign exchange deposits.[14] Realizing the need for tightening, the BoZ raised its rates during the second quarter of 1998;[15] this rate hike helped to slow the depreciation of the kwacha in the following months but was insufficient to prevent a further slide of the kwacha toward the end of the year. Reflecting importantly the strong expansion of central bank credit to the government during the last quarter of 1998, net domestic assets of the banking system grew by almost 51 percent of beginning–of–year broad money (excluding valuation effects) in 1998, and the net foreign assets position of the banking system deteriorated sharply (Tables 6 and 7).

15. **The weaknesses in the commercial banking system remained worrisome.** Although the share of nonperforming loans has declined in the recent period, at end–December 1998, it still amounted to 22 percent of total loans. The financial losses on nonperforming loans prevented four banks from meeting minimum capital requirements, albeit by relatively limited amounts, while one bank was deemed insolvent.

Zambia: The Commercial Banking System

	1995	1996	1997	1998
Number of banks	27	21	17	16
Majority state–owned (in percent of total assets)	22	25	22	23
Majority foreign–owned (in percent of total assets)	42	59	58	64
Total assets of banks (in percent of GDP)	31	22	22	24
Credit to private sector (in percent of GDP)	6.8	7.4	5.5	6.3
Average lending spread (lending rate minus deposit rate, in percent)	13	29	35	32
Nonperforming loans, (in percent of total loans)	7	34	24	22
Nonperforming loans (in percent of GDP)	0.6	2.7	1.7	1.5

Source: Zambian authorities.

[13](...continued)
14 percent in December, turning negative in real terms. The core liquid assets ratio was reduced in four steps from 43.5 percent in November 1997 to 25 percent in January 1998.

[14]Foreign exchange deposits increased to 36 percent of total broad money at the end of 1998, from 23 percent at end–1997.

[15]Interest rates on open market operations increased from 13 percent in February 1998 to 36 percent in May.

16. **A 35 percent decline in metal exports contributed to a significant weakening of Zambia's external position in 1998** (Table 8). The deterioration in the terms of trade, by an estimated 10 percent, reflected not only the sharp fall in copper prices, but also the drop in prices for some other key nontraditional exports, notably cotton. Exports to the Democratic Republic of Congo, one of Zambia's major trading partners, were negatively affected by the armed conflict in that country. Notwithstanding the sharp compression of imports, the current account deficit widened by almost 2 percentage points of GDP to 8 percent, while the weakening of the capital account reflected substantial short–term capital outflows, as well as lower official loan disbursements. Severe external pressures led to a significant depreciation of the kwacha and a considerable loss of gross official reserves, which fell from US$213 million at end–1997 to US$44 million by end–December 1998 (equivalent to about two weeks of import cover).[16] The weakening of Zambia's currency also occurred against the backdrop of a sharp depreciation of several other currencies in the region, with the currencies of Malawi, South Africa, and Zimbabwe depreciating by 52 percent, 17 percent, and 49 percent, respectively, vis–à–vis the U.S. dollar.

17. **Zambia has made significant progress on trade liberalization.** The elimination of the 5 percent import declaration fee (IDF) as of July 1, 1998 has reduced the trade–weighted average rate of import taxation to below 15 percent.[17] In addition, the import ban on wheat flour, introduced in September 1997 to protect the domestic milling industry against foreign competition, was lifted as of July 1, 1998.

18. **On January 22, 1999, the government announced that agreement had been reached on the acquisition by the Anglo–American Corporation of South Africa of an 80 percent share in the Nchanga, Nkana, and Konkola Divisions of the ZCCM, which account for about 60 percent of metal production** (see Box 2). The government also completed the privatization of majority shares in ZCCM's smaller asset packages.[18] Following the transfer of all the main assets, the ZCCM will be transformed into a holding company that owns and manages the minority shares in the privatized assets.

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[16]Net interventions in the foreign exchange market were negligible in 1998; the decline in reserves reflected mainly the servicing of external debt. The central bank sold about US$20 million in the market in February 1999.

[17]The tariff schedule consists of three nonzero rates, with a maximum of 25 percent; this schedule is consistent with Zambia's commitments under the Cross–Border Initiative.

[18]The Chambishi Copper Mine was sold in July 1998 (generating revenue of US$20 million), and the Chambishi Acid and Cobalt Plant and the Nkana Slag Dump in September (US$50 million). The sale of the Ndola Lime Company (US$17.5 million) has been delayed owing to long–term supply contract negotiations.

Box 2. Privatization of the ZCCM's Major Assets

On January 22, 1999, the government announced that it had concluded a memorandum of understanding with Zambia Copper Investments Limited (ZCI) (the company through which the Anglo-American Corporation of South Africa holds its interest in the ZCCM) regarding the acquisition by ZCI and partners of an 80 percent interest in a new company that will acquire the assets of the Konkola (including Konkola Deep), Nkana, and Nchanga Divisions of the ZCCM and its Nampundwe Mine.

The memorandum of understanding specifies a number of conditions that must be satisfied prior to the signing of legally binding sales agreements. These include

- formation by ZCI of a consortium of partners including a substantial mining partner to join it in the investment;
- raising of third-party finance;
- confirmation of ZCI's due diligence on the state of the assets;
- conclusion of negotiations on all outstanding issues on a basis acceptable to the government, the ZCCM, and ZCI; and
- retrenchment of about 7,400 ZCCM employees, which will be financed by the World Bank in the context of its public sector reform and export promotion credit.

An up-front cash payment of US$90 million was agreed, which would be settled at the time of the transfer of the assets. In addition, the ZCCM would keep a 20 percent interest in the new company. In a parallel transaction, the government agreed to purchase ZCI's 27 percent shareholding in the ZCCM for an amount of US$25 million. The parties intend to complete the negotiations on all the outstanding issues by end-March 1999. ZCI, with assistance from Anglo-American, has assigned experienced personnel to monitor the mining operations, gather information, and provide advice to mine management when required in order to facilitate the smooth transfer of the assets.

ZCI has, as part of the agreement, relinquished its exclusive rights to the Mufulira smelter and refinery, thereby making it possible to sell the Mufulira Mine as an integrated package.

The agreement includes a range of tax concessions, of which the main ones are no duty on imports of capital goods; a reduction in the company income tax rate from 35 percent to 25 percent;[1] no excise duty on electricity purchases; and a reduction in the mineral royalty tax from 2 percent to 1 percent. In addition, the new company will be exempted from the first US$23 million of any extraction royalty and customs duties due during the period 1999-2003 if the cobalt price falls below a set value in each year.[2] The agreement stipulates that these concessions will apply for a minimum period of 20 years.

[1] Tax losses will be allowed to be carried forward against taxable profits for 20 years, which means in practice that no company income tax will be levied for the foreseeable future.

[2] US$10 per pound in 1999-2000, and US$6 per pound in 2001-2003. The average market price of cobalt in February 1999 was US$18 per pound.

19. **On September 1, 1997, the government adopted a comprehensive public service reform program, with the twin objectives of reducing public employment and bringing pay differentials more in line with those in the private sector.** Since the adoption of the program, about 15,500 contractual employees have been separated.

III. The Medium–Term Adjustment Strategy

20. **Against the backdrop of the serious weakening of the economy in 1998, it will be important to restore the prospects for economic growth by finalizing the privatization of the copper parastatal, reinvigorating public sector reform, privatizing and rehabilitating key public enterprises, and strengthening the financial sector.** The main macroeconomic objectives for the period 1999–2001 are to achieve economic growth rates of about 5 percent a year, regain control over inflation, and strengthen the external position.[19] To achieve these objectives, the proposed adjustment program will emphasize further stabilization efforts through appropriately tight financial policies, complemented by structural reforms.

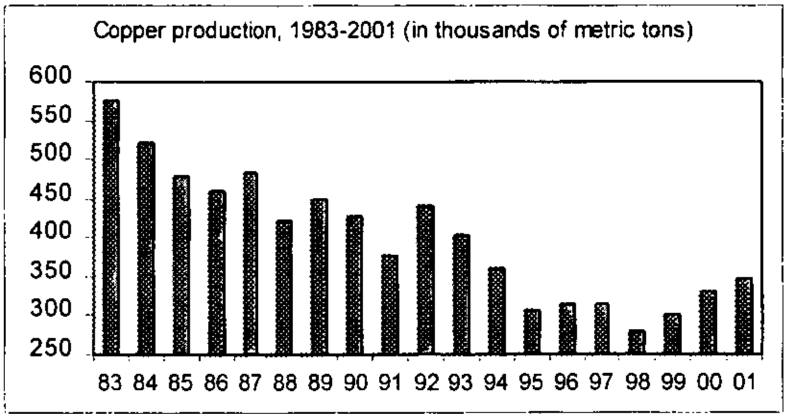
21. **Although the Zambian economy has succeeded over the past years in diversifying its export base, the revitalization of the copper sector will be essential for growth and external viability.** The privatization of this sector is expected to lead to improvements in the efficiency of existing mines. The rehabilitation of mining production capacity will require large investments, which drive to a large extent the projected increase in the investment–GDP ratio (see Box 3).

22. *With public investment broadly unchanged at 8 percent of GDP over the program* period, private investment is projected to almost double from 7 percent of GDP in 1998 to 12 percent in 2001. The bulk of the increase in investment will need to be financed by an increase in domestic savings.

[19]The medium–term projections try to take account of the possible impact of the incidence of AIDS on population and output growth. It is projected that the prevalence of AIDS will reduce the rate of annual population growth from about 2½ percent in the early 1990s to 2 percent during the projection period. A recent World Bank study estimates that the negative impact on per capita GDP growth in countries like Zambia could be equivalent to about 0.2 percentage point per year.

Box 3. Prospects for the Mining Sector

In the early 1970s, the direct contribution of the copper industry to GDP was some 33 percent and its share in government revenue was about 43 percent. After peaking at 713,000 metric tons in 1976, copper production entered a period of steady decline. Insufficient maintenance increased the frequency of technical failures in the production process. Also, labor productivity declined as a result of overemployment, on the one hand, and a continued loss of skills through a high rate of turnover in the expatriate labor force on the other. These problems were compounded by recurrent shortages of imported inputs and spare parts, owing to foreign exchange restrictions (in the 1980s) and the tight cash-flow position of the copper parastatal (in the 1990s).



The rehabilitation of existing mines and the development of new ore bodies will require sizable investments over the medium term. Preliminary estimates suggest that the total capital investment needed to implement the various development plans could reach as high as **US$1.3 billion** (equivalent to almost 40 percent of 1998 GDP) in the coming six years, and an additional **US$500 million** over a longer period, assuming that the development of the Konkola Deep and Konkola North projects moves forward:

- The **Nchanga and Nkana Divisions**, which are being privatized, together produced 160,000 metric tons of copper in 1998, some 60 percent of total copper production. The investment in equipment and maintenance needed to restore the viability of these mines is estimated at **US$300 million** over a three-year period. At present production levels, the remaining deposits in the Nchanga mine (1998 production: 130,000 tons) will be depleted within five to seven years.

- The new owners of the mines that were privatized in 1997-98 (**Kansanshi, Chibuluma, Luanshya, and Chambishi** (copper and cobalt mines sold separately)) and which produced about 120,000 tons of copper in 1998, have committed investment in maintenance and equipment equivalent to about **US$168 million** over a three- to five-year period.

- The development of the **Konkola Deep mining project** would cost about **US$820 million** over a period of six years and would boost Zambia's annual metal production by 600 tons of cobalt and 180,000 tons of copper. Anglo-American has expressed interest in developing the project, depending on its ability to involve partners in the financing and technical management of the operation.

- In February 1997, the government concluded an agreement with Avmin of South Africa on the exploration and possible development of **Konkola North**. Avmin is expected to decide shortly on whether to conduct a bankable feasibility study or return the project to the ZCCM. The total development cost of the project is estimated at **US$500 million.**

Zambia: Growth, Savings, and Investment

(In percent of GDP, unless otherwise specified)

	1991–96 Average	1997	1998 Est.	1999 Prog.	2000 Prog.	2001 Prog.
Real GDP growth (percent)	-0.3	3.3	-2.0	4.0	4.5	5.5
Of which: agriculture	6.4	-5.1	-6.1	8.8	7.3	6.4
mining	-3.4	2.4	-11.0	3.5	6.0	6.0
manufacturing	-0.8	7.4	3.0	3.0	4.0	6.0
Consumer price inflation						
(end–year; percent)	88.0	18.6	30.6	15.0	8.0	4.0
Gross domestic savings	7.7	8.0	5.4	5.2	9.5	11.5
Private	3.7	4.7	3.1	4.7	4.6	6.3
Public	4.0	3.2	2.4	0.5	4.9	5.2
Gross domestic investment	13.1	13.6	14.4	17.6	20.3	20.0
Private	7.0	8.2	6.7	9.0	12.8	12.0
Public	6.1	5.4	7.7	8.5	7.4	7.9
Current account balance	-1.9	-6.2	-8.0	-8.8	-10.7	-8.3

Sources: Zambian authorities; and staff estimates and projections.

23. **Real GDP growth of about 5 percent a year over the program period will require robust growth in the agricultural sector,** which, in turn, is conditional on normal weather conditions and progress toward making agriculture less susceptible to drought (see ¶24–26 of the PFP). In addition, it will be important for the government to refrain from counterproductive interventions in maize marketing and input supply, and to improve infrastructure, which will facilitate access to markets.

24. **The reemergence of strong inflationary pressures in 1998 was a setback to Zambia's stabilization efforts.** To support the anti–inflationary policy stance and reduce Zambia's dependence on aid over time, fiscal policy will aim at gradually reducing the overall fiscal deficit to about 1 percent of GDP, while raising the revenue–GDP ratio by 1½ percentage points between 1998 and 2001. The structure of expenditure will be improved by strictly controlling the growth of the civil service wage bill, and by reallocating expenditure to infrastructure investment and social services.

25. **The external environment for Zambia's exports is expected to improve somewhat in the coming years.** Import demand of the main trading partners is projected to increase by 5 percent a year, while the U.S. dollar value of nonmetal exports is projected to grow by 13 percent a year over the next three years. Imports are expected to rise by 11 percent a year, reflecting importantly the strong increase in investment in the mining

sector following the privatization of the ZCCM.[20] As a result, the current account deficit (including official transfers) is projected to widen slightly from 8 percent of GDP in 1998 to 8½ percent of GDP in 2001. Part of this deficit will be financed by private capital inflows related to the development of the mining sector, while the remainder will need to be covered by balance of payments assistance, including debt relief.

26. **The privatization of state–owned enterprises will remain an important element in the strategy of stimulating the role of the private sector, raising the efficiency of the utilities, and strengthening financial intermediation** (see also ¶14–16 of the PFP). After the privatization of the remaining assets of the ZCCM, the focus will shift to the divestiture of parastatals in the utilities sector (including the national telecommunications company (ZAMTEL) and ZESCO), financial institutions (including the Zambia National Commercial Bank), the transport sector (including Zambia Railways), and the petroleum sector (the INDENI Refinery and the petroleum distribution company (ZNOC)).

27. **The medium–term program will continue to give high priority to public service reform** (see ¶17–21 of the PFP). With the assistance of the World Bank, the government will prepare a medium–term plan to eliminate overemployment in the civil service and free the resources needed to introduce a more competitive salary structure for the civil service.

28. **Zambia maintains a relatively liberal and open trade** regime. The simple average tariff is estimated at 13.6 percent, and there are no significant nontariff barriers. On the 10–point scale of trade restrictiveness developed in the recent Fund study on "Trade Liberalization in Fund–Supported Programs" (EBS/97/163), Zambia ranks 2. The program envisages further trade liberalization over the medium term, with the objective of establishing a most–favored–nation import tariff structure, with a weighted average import tariff of close to 10 percent. To this effect, the maximum rate of 25 percent will be reduced to 20 percent in 2001, consistent with Zambia's commitments under the Cross–Border Initiative. As the planned reduction in the maximum tariff is unlikely to reduce the average tariff to below 10 percent, Zambia will remain at the current rating throughout the program period.

29. **Poverty remains pervasive in Zambia.** According to World Bank estimates, in 1996 about 70 percent of Zambians were living in poverty, with 58 percent of the population lacking basic nutrition. The Public Welfare Assistance Scheme (PWAS) is the government's main vehicle for meeting the needs of the poorest, but its coverage and effectiveness have been limited. Supported by the World Bank, the government is working on reforming the PWAS, with the aim of making the scheme more community based. The government is also seeking to alleviate poverty by reorienting public expenditure toward the social sectors, primarily health and education. Consistent with understandings with the World Bank, the share of domestically financed discretionary expenditure allocated to the social sectors

[20]The average growth rate of nonmetal imports is projected at 4 percent.

increased from 28 percent in 1993 to about 36 percent in 1998, and the government is committed to maintaining this share at least at that level during 1999-2001.

IV. The Program for 1999

A. Introduction

30. The objectives of the government's economic and financial program for 1999 are to achieve real GDP growth of 4 percent; reduce inflation to 15 percent (end–of–year basis); and strengthen gross reserves to the equivalent of 1½ months of imports. The principal structural reforms in 1999 relate to privatization, public service reform, and the strengthening of prudential banking supervision.

B. Fiscal Policy

31. **In line with the medium–term objectives, the fiscal program for 1999 aims at reducing the overall budget deficit to K 250 billion (3 percent of GDP), and at limiting the domestic fiscal deficit to K 44 billion (½ of 1 percent of GDP).**[21] The program envisages an increase in the revenue yield of ½ of 1 percentage point of GDP in 1999, a firm control over the public wage bill, and an increase in public investment (Table 4). The budget provides for an exceptional allocation of K 302 billion (almost 4 percent of GDP), which represents on–lending to the ZCCM for the financing of the retrenchment of ZCCM employees, and for the repayment of the ZCCM's short–term debt and arrears in the context of its privatization (see ¶30 of the MEFP). Excluding these one–off transactions, the budget would generate a domestic surplus of K 107 billion (1.4 percent of GDP). In addition, the government has established a K 147 billion contingency reserve, which will be used, inter alia, to offset unforeseen revenue shortfalls or expenditure overruns on domestic arrears and interest payments.

32. **Total revenue and grants are programmed to increase by 42 percent to K 2,177 billion (28 percent of GDP), reflecting, inter alia, the resumption of external program assistance.** Although the projected increase in tax revenue of ½ of 1 percent of GDP is ambitious, notably since the net positive impact of discretionary tax measures is negligible (see Box 4), the recent efforts to address weaknesses in tax administration and the projected pickup in economic activity should make it possible.

33. **Total expenditure (excluding the contingency reserve) is budgeted to increase by 31 percent to K 2,257 billion in 1999 (29 percent of GDP).** Consistent with the medium–term objectives of the program, the structure of government outlays will change in

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[21]Since the government has only limited control over donor–financed projects, the domestic fiscal balance is the main control variable for fiscal policy.

Box 4. Main Tax Measures in 1999

On January 29, 1999, the government presented to parliament the budget for 1999, which included new tax measures in four main areas, with an estimated net yield of K 6 billion.

Income tax

- Exempt portion of terminal benefits to be increased to K 3 million from K 2 million (estimated cost of K 0.2 billion).
- Individual tax credit to be increased to K 96,000 from K 84,000 (estimated cost of K 5 billion).
- Withholding tax of 15 percent to be levied on income paid as "commission" to nonresidents and to residents who are not employees of the payer; aimed primarily at the tourism sector (estimated yield of K 0.8 billion).

VAT

- Import VAT deferment scheme—originally intended to give importers of selected capital goods a cash-flow advantage, but which has evolved into a permanent and expanding exemption from import VAT—to be discontinued (estimated yield of K 15 billion).

Customs and excise duties

- Duties on agricultural machinery and equipment to be suspended (estimated cost in 1999 of K 6 billion).
- Document processing fee to be introduced to finance improvements in computerized clearing and processing procedures for imports (estimated yield of K 0.4 billion).

Mining

- Mineral royalty tax be levied on gross, rather than net, sales, i.e. the deduction of certain operating expenses no longer allowed (estimated yield of K 1 billion).

favor of higher investment and spending on health and education. The wage increase will be limited to 21 percent, which would reduce the wage bill as a share of noninterest spending from 20 percent in 1998 to 17½ percent in 1999. **A strengthening of budget implementation, including the improved control and analysis of spending commitments, cash outlays, and domestic arrears will have high priority in the government's programs for 1999** (see ¶19 of the MEFP).

34. The overall budget deficit (excluding grants) of K 967 billion (12½ percent of GDP) is programmed to be financed by external assistance, as follows: K 457 billion in project grants, K 260 billion in program grants, and K 360 billion net external borrowing on highly concessional terms. The available external financing will allow the government to reduce its net outstanding debt to the domestic banking system by K 109 billion in 1999.

C. Monetary Policy and Banking Supervision

35. **The 1999 monetary program has been geared toward bringing inflation down by firmly controlling the growth of reserve money, which is programmed to slow to 18 percent (from 36 percent in 1998), consistent with a projected growth of broad money of 20 percent.** To achieve this objective, net bank claims on government will be reduced by some 10 percent of beginning–of–period broad money.

36. **While the depreciation of the kwacha has considerably improved Zambia's external competitiveness,** as measured by the real effective exchange rate, its inflationary impact has complicated the authorities' efforts to regain control over inflation. A rapid deceleration in inflation will need to be achieved in order to preserve these gains in competitiveness. To this end, the authorities will closely monitor developments in inflation, and if needed, tighten the monetary policy stance by raising the official bank rates and through open market operations in treasury bills. An appropriately tight monetary policy stance, including the maintenance of positive real interest rates, will provide support to the kwacha and should help arrest the creeping dollarization of the economy. In view of the precariously low official reserves, the Bank of Zambia will need to give high priority to a strengthening of its net foreign asset position.

37. **The program provides for a further strengthening of the banking system.** The authorities are pressing banks to step up their loan recovery efforts, and requiring changes in bank management where necessary. The BoZ will strictly enforce minimum liquidity and capital requirements. In addition, off–site risk analysis will be stepped up through intensified training of staff and the use of an improved commercial bank database. Also, an amendment to the Banking and Financial Services Act will, inter alia, enhance the legal position and powers of the BoZ in licensing and liquidating banks. The government intends to send a legislative proposal to parliament in early 1999.

D. External Outlook and Financing

38. **Although copper exports are expected to recover in 1999, Zambia's external position will remain fragile during the program period.** The projections for 1999 are based on a real growth of import demand by Zambia's trading partners of 3½ percent and an average copper price of about US$1,500 per metric ton. Notwithstanding a recovery in metal exports, the net trade surplus of the sector, which was almost US$370 million in 1998, is projected to fall to about US$290 million, reflecting depressed copper prices and an increase in investment–related import demand. In addition, imports by the nonmetal sector are assumed to expand by about 5 percent, as economic activity picks up and demand for imported goods catches up. Thus, the overall trade deficit is projected to increase to 7 percent of GDP. Since the rising trade deficit will be offset by larger official transfers, the current account deficit is not expected to exceed about 9 percent of GDP, against 8 percent in 1998. The projected amounts of external official financing on highly concessional terms (including

Paris Club debt relief) and private capital inflows, mainly foreign direct investment in the mining sector, would allow the accumulation of official reserves to the tune of US$122 million.

39. **The government's external financing requirement (excluding foreign–financed projects) is estimated at US$526 million in 1999.** Of this amount, US$175 million could be covered by World Bank program loans,[22] US$20 million by cofinancing from the African Development Fund, and US$112 million through program grants by the European Union, Germany, and the United Kingdom. The remaining financing gap of US$219 million could be covered by Paris Club debt relief in the context of a new rescheduling agreement.[23]

40. **As part of the 1996 Paris Club rescheduling agreement, the government has concluded all bilateral agreements, except with Russia.**[24] The authorities have approached the Russian authorities, with a view to finalizing negotiations on the clearing of outstanding arrears. They will also request the Paris Club for a new multiyear rescheduling agreement, and they intend to make further efforts to reach agreement with non–Paris Club bilateral official and commercial creditors on terms at least as favorable as Naples terms. In addition, the BoZ intends to clear in 1999 the external payments arrears dating from the era of exchange controls that give rise to exchange restrictions under Article VIII of the Fund's Articles of Agreements. As Zambia does not have other restrictions on current international transactions, the authorities are preparing the acceptance of the obligations under Article VIII. In this context, a comprehensive review of the exchange system is expected to take place shortly.

E. Privatization

41. **The damaging impact of the delays in the privatization of the ZCCM on Zambia's economy has amply demonstrated the need for a rapid completion of this process.** Under the terms of the agreement with Anglo–American, the ZCCM's net outstanding short–term liabilities (projected at US$124 million as of end–March 1999) will need to be repaid at the time of the transfer of the assets (see ¶30 of the MEFP). The ZCCM's

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[22]On January 26, 1999, the Bank's Executive Board approved a US$170 million public sector reform and export promotion credit. The first tranche of US$65 million was disbursed in January 1999.

[23]The assumed terms of rescheduling are similar to the ones granted in 1996, including 67 percent debt reduction on NPV terms on pre–cutoff debt and arrears.

[24]As the second annual ESAF arrangement did not become operative, the second and third tranches of the 1996 Paris Club rescheduling agreement were not implemented. In the absence of a formal agreement, arrears on pre–cutoff debt–service obligations have been accumulated.

outstanding long–term debt, estimated at US$392 million, is serviced by the government under the terms of existing government guarantees.

42. **The program for 1999 also envisages further progress on the divestiture of large state–owned enterprises in the nonmining sector.** By end–September 1999, the government will tender a 20 percent share and management rights in ZAMTEL and liquidate or offer for sale the ZNOC. As regards the transport sector, the government has entered into a management contract for Zambia Railways, and in 1999 it will tender the granting of concessions with regard to the railway system and the management rights on the operations of the National Airports Corporation. In addition, the government will instruct the Zambia Privatization Agency (ZPA) to begin preparatory work in 1999 on the other large parastatals, including ZESCO and Zambia Post (ZAMPOST), with a view to effecting their eventual divestiture. As regards the financial sector, the government intends to float shares in the state–owned Zambia National Commercial Bank on the Lusaka Stock Exchange, and it will consider other options for its privatization (see ¶28 of the MEFP).

F. Public Service Reform

43. **The program envisages a reduction in the public service workforce of 7,000 employees in 1999 through retrenchment, natural attrition, and the hiving off of public institutions** (see ¶26 of the MEFP). The monitoring of the World Bank–supported retrenchment plan will require reliable payroll data and effective controls on the establishment register. At present, inconsistencies exist between the payroll data of the Ministry of Finance and the establishment register managed by the Cabinet Office. By end–April 1999, the authorities will submit recommendations on improving the quality of the payroll data and establishment controls. In the meantime, the size of the public service will be monitored on the basis of the payroll data of the Ministry of Finance.

44. The involuntary retrenchment of pensionable civil servants is very costly,[25] mainly because the Pensions Act allows separated staff members to commute up to two–thirds of future pension benefits on very generous conditions. The authorities are preparing a report on the establishment of an affordable, actuarially sound civil service pension system, which will be submitted to the President before April 30, 1999.

45. The government also intends to continue the reorganization of ministries. All 22 ministries have completed their restructuring plans, and the plans for 13 of these have already been approved by the cabinet. The plans for the remaining ministries will be submitted for approval in early 1999. In addition, the government intends to initiate the divestiture of 7 government units, and a decision regarding 12 other units will be taken in 1999.

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[25] Dependent on the age and length of service of the civil servant, the terminal benefits are equivalent to up to 16 times the current salary.

V. Medium–Term Outlook and Capacity to Repay the Fund

46. **Even with a continued strong macroeconomic performance, Zambia's balance of payments prospects will remain difficult over the medium term.** The updated debt sustainability analysis (Appendix IV) confirms that, in the baseline scenario, the ratio of the net present value of debt to exports will come down to below 200 percent only after 2005; also, debt service in percent of exports is projected at 30 percent in 2001, when the repayments of SAF/ESAF loans start, and will not fall below 25 percent until after 2003. Debt service to the Fund is likely to be in the range of 10–17 percent of exports of goods and services during the period 2001–05. Zambia's capacity to repay the Fund will depend importantly on its ability to sustain the adjustment effort, and to substantially improve its export prospects. It will also need to receive generous external assistance on highly concessional terms. After having established a track record of satisfactory performance under Fund– and Bank–supported programs, Zambia could request for assistance under the Initiative for Heavily Indebted Poor Countries (HIPC Initiative).

47. In view of Zambia's large outstanding obligations to the Fund, the program envisages front–loaded policy actions to support financial and economic adjustment, while the disbursements under the proposed ESAF arrangement are back–loaded. In addition, in line with the modifications to the ESAF to allow closer monitoring in November 1998, the program provided for performance to bc tested on a quarterly basis.

VI. Program Monitoring

48. The monitoring of performance under the three–year ESAF arrangement will be based on the quantitative and structural performance criteria and benchmarks outlined in Appendix I, Tables 1 and 2. These include ceilings on (i) increases in net domestic assets of the BoZ; (ii) increases in net bank claims on the government; (iii) the outstanding stock of domestic arrears of the government; (iv) the accumulation of external payments arrears; (v) the contracting of new medium– and long–term nonconcessional public or publicly guaranteed loans; (vi) the stock of short–term debt contracted or guaranteed by the central government and the BoZ; (vii) and the size of the public service. The criteria also include floors on the domestic fiscal balance (cash basis) of the government and the net international reserves of the BoZ. The structural performance criteria and benchmarks relate to (i) the offering for sale of a minority share and management rights in ZAMTEL; (ii) the submission of recommendations on the establishment of an actuarially sound civil service pension system; (iii) the maintenance of positive real interest rates on treasury bills (benchmark); (iv) abstention from new tax exemptions, waivers, or preferential tax treatment; and (v) the transfer of the major asset packages of the ZCCM.

49. The Fund will conduct with Zambia two reviews of the program, based on performance through June 1999 and December 1999, respectively. The reviews will include an assessment of the macroeconomic framework, progress in public service reform, the

implementation of measures to improve expenditure control, privatization, and the *strengthening of prudential supervision of the banking sector.*

VII. Program Implementation Capacity

50. Zambia's capacity for program implementation needs strengthening in several areas. The proper execution of the budget is affected by weaknesses in expenditure controls, including the monitoring of domestic arrears. Since October 1997, a Fund resident budget advisor has been assisting the authorities in budget management, which should result in improvements in 1999. As regards monetary policy, the quality of monetary data needs to be strengthened, as well as the effectiveness of monetary policy instruments. A Fund resident advisor on monetary policy instruments has been assigned to the BoZ to assist the authorities in these areas, and a STA mission will visit Lusaka in March 1999 for technical assistance on the monetary survey. The public service reform program has been hampered by shortcomings in the implementation capacity of the authorities. The World Bank will assist them in designing a revised medium–term plan for the public service reform.

VIII. Staff Appraisal

51. **In the past year, Zambia's economic performance has suffered major setbacks, which have significantly weakened the economy and eroded some of the gains achieved under the government's adjustment policies.** Prominent among these setbacks has been the protracted delay in the privatization of the copper parastatal, ZCCM, which has had serious ripple effects throughout the economy, as evidenced by the significant worsening of the external position, rising inflation, the weakening of the public finances, and depressed economic activity. To reverse the tide and begin to restore confidence in the economy, it will be crucial to complete the privatization of the ZCCM as soon as possible.

52. **Zambia's economic difficulties in 1998 were compounded by a substantial worsening of the terms of trade and a weather–induced decline in maize production,** which have complicated the achievement of macroeconomic stability. Tight financial policies were required to counter these developments—a task at which the authorities only partially succeeded. Specifically, the loosening of the monetary policy stance during the first half of 1998 was inappropriate and contributed to an accelerated depreciation of the currency and loss of international reserves, while expansionary fiscal policies during the last quarter exerted strong upward pressure on inflation.

53. **The government's program for 1999 aims at restoring macroeconomic stability and promoting sustainable growth by reducing inflation, strengthening the external position, and emphasizing the critical role of private sector development in the process.** Macroeconomic stabilization policies in 1999 will be underpinned by a strong fiscal adjustment effort, notwithstanding the considerable fiscal costs associated with the

privatization of the ZCCM. The programmed reduction in the overall fiscal deficit by more than 1 percentage point of GDP will contribute to the necessary increase in national savings and limit the expansion of net domestic assets of the banking system, while leaving sufficient room for private sector credit growth.

54. **The program aims to address several serious structural weaknesses in fiscal management that have repeatedly undermined macroeconomic performance in recent years.** First, a firm control over the public service wage bill, coupled with further progress on public service retrenchment, will allow the government to reverse the steady increase since 1994 in the share of public wages in total domestic expenditure, and to increase funding for domestically financed capital expenditure and much–needed social programs. Second, the government is implementing concrete measures to strengthen controls over ministries' expenditures and prevent the accumulation of domestic payments arrears. These measures, in combination with the contingency reserve included in the budget for 1999, should enhance confidence in the ability of the government to meet program targets and avoid the erratic swings of past fiscal performance. Third, the weaknesses in direct tax administration are being addressed, which is necessary to improve revenue performance. Fourth, the government has made a firm commitment to protect the integrity of the tax system, and to refrain from the introduction of new tax exemptions or preferential tax treatment, with the exception of tax concessions made in the context of the privatization of the ZCCM.

55. **The program also gives high priority to making progress in privatizing public enterprises.** In this regard, the staff also welcomes the broadening of the scope of the privatization program by including major public utilities, parastatals in the petroleum sector, and financial institutions.

56. The staff notes with concern the recent deterioration in the reliability of external debt service statistics, which has led occasionally to erroneous payments. It urges the authorities to make a determined effort to improve the statistical database of debt and other external transactions.

57. In view of the adoption by the authorities of a repayment plan for the settlement of outstanding payments obligations dating from the period of exchange restrictions, the staff encourages the authorities to take the necessary steps toward accepting the obligations of Article VIII of the Fund's Articles of Agreement.

58. **There are major risks associated with the implementation of the program for 1999.** With metal exports constituting about three–fourths of merchandise exports, a further decline in copper prices could have a significant impact on the balance of payments. In addition, the potential macroeconomic and budgetary risks associated with the dire financial position of the ZCCM and the possible further delays in privatizing the main asset packages cannot be underestimated. If the government does not succeed in completing the sale of the main asset packages soon, the ZCCM will not be able to continue its operations without sizable budgetary support. Another uncertainty relates to the availability in 1999 of external

financing, which requires a sustained performance in the implementation of the government's economic adjustment program and further progress on governance.

59. Notwithstanding these uncertainties, steadfast implementation of the program for 1999 would contribute to the restoration of private sector confidence and lay the basis for sustained economic growth over the medium term. The staff, therefore, recommends the approval of the three–year ESAF arrangement.

60. It is recommended that Zambia remain on the 12–month consultation cycle.

IX. Proposed Decision

The following draft decision is proposed for adoption by the Executive Board:

1. The government of Zambia has requested a three–year arrangement under the Enhanced Structural Adjustment Facility and the first annual arrangement thereunder.

2. The Fund notes the policy framework paper for Zambia (EBD/99/42).

3. The Fund approves the arrangement set forth in EBS/99/35.

Table 1. Zambia: Indicators of Fund Credit, 1998-2011

(In millions of SDRs, unless otherwise specified)

	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007	2008	2009	2010	2011
Outstanding Fund credit	843.4	883.4	923.4	931.2	763.5	594.8	424.1	245.4	218.7	166.8	115.9	67.1	67.1	26.2
Of which: SAF/ESAF	843.4	883.4	923.4	931.2	763.5	594.8	424.1	245.4	218.7	166.8	115.9	67.1	67.1	26.2
ESAF loan disbursements	0.0	40.0	40.0	174.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total debt service to the Fund	6.7	6.7	6.7	173.1	173.3	173.4	174.6	181.7	29.2	54.3	53.3	49.5	40.9	26.2
Repayments	0.0	0.0	0.0	166.7	167.7	168.7	170.7	178.7	26.7	51.9	50.9	48.9	40.9	26.2
Charges	6.7	6.7	6.7	6.4	5.6	4.7	3.9	3.0	2.5	2.4	2.4	0.7	0.0	0.0
Fund credit outstanding														
As percent of total public external debt	17.1	17.6	17.9	17.5	14.4	11.2	8.1	4.4	4.0	3.0	2.1	1.2	1.2	0.5
As percent of quota	232.0	180.6	188.8	190.4	156.1	121.6	86.7	50.2	44.7	34.1	23.7	13.7	13.7	5.3
Debt service to the Fund														
As percent of total public external debt service 1/	4.4	5.4	5.6	58.4	56.8	55.2	54.1	52.2	14.1	22.6	22.6	20.9	17.3	11.3
As percent of exports of goods and services	0.9	0.9	0.8	17.3	16.0	14.1	12.7	11.8	1.8	3.4	3.1	2.7	2.0	1.3
Memorandum items:														
Total debt service ratio 1/	20.8	16.5	13.6	29.7	28.2	25.6	23.4	22.5	13.1	14.9	13.7	12.9	11.8	11.1
Zambia's quota in the Fund 2/	363.5	489.1	489.1	489.1	489.1	489.1	489.1	489.1	489.1	489.1	489.1	489.1	489.1	489.1

Sources: IMF Treasurer's Department; and Fund staff estimates and projections.

1/ It is assumed that Paris Club creditors will continue to reschedule Zambia's eligible obligations falling due on the same terms as those granted in February 1996.

2/ On February 10, 1999, Zambia's quota in the Fund was increased under the Eleventh General Review of Quotas.

Table 2. Zambia: Selected Economic and Financial Indicators, 1996-2001

	1996	1997	1998	1999	2000	2001
			Est.	Program		
	(Annual percentage change, unless otherwise indicated)					
National income and prices						
Real GDP	6.6	3.3	-2.0	4.0	4.5	5 5
GDP deflator	23.4	26.8	23.1	20.8	11.3	5.4
Consumer prices (annual average)	43.1	24.4	24.5	21.6	11.6	5.3
Consumer prices (end of period)	35.2	18.6	30.6	15.0	8.0	4.0
Nominal GDP (in billions of kwacha)	3,945	5,169	6,241	7,839	9,118	10,135
Copper production (in thousands of metric tons)	314	314	291	300	330	347
External sector						
U.S. dollar value of exports of goods and services	-13 1	17.2	-24.6	8 3	15.1	14.6
Of which: copper	-33.3	14.4	-33.6	4.9	13.2	18.5
U.S. dollar value of imports of goods and services	-11.2	15.5	-15.5	13.8	8.7	7.6
Export volume	9.4	7.0	-12.4	11.8	11.8	7.0
Import volume	-10.9	25.3	-10.2	13.2	7.2	6.5
Copper export volume	-4.1	-8.0	-13.9	15.7	10.0	5.0
Copper exports (in thousands of metric tons)	327	301	259	300	330	347
Copper export prices (average, US$ per metric ton)	1,734	2,156	1,661	1,507	1,550	1,750
Nominal effective exchange rate	-26.4	-1.7	-24.1	...	...	...
Real effective exchange rate	3.8	19 8	-8.7	...	...	...
Average official exchange rate (kwacha per U.S. dollar)	1,208	1,315	1,862	...	...	...
Terms of trade	-22.8	21.6	-10.3	-5.1	0.8	6 0
Money and credit						
Net foreign assets	-23.6	7.2	-100.3	11.1	9 2	10.6
Net domestic assets	27.4	4.4	65.8	-0.8	-0.4	-1.4
Net domestic credit	36 3	6.9	91.0	-2.4	-1.2	-4.4
Net claims on government	22 7	8.4	355.4	-19.6	-22.3	-33.7
Claims on nongovernment	40.4	6.5	20.2	15.0	13.7	9.8
Broad money	34.4	24.0	22.6	20.3	12.9	9.7
Velocity 1/	6.0	6.3	6.5	6.3	6.4	6.4
Official bank rate (in percent; end of period)	69.5	23.5	43.6	...	...	..
Treasury bill rate (in percent; end of period)	57.7	14.4	34.0	...	...	...
Central government budget						
Revenue (excluding grants)	37.0	25.2	10.6	29.1	19.0	14.5
Grants	-12.0	7.6	52.8	80.3	-42.1	10.7
Expenditure and net lending	9.6	19 8	33.4	39.3	-0.4	11.6
Current expenditure	3.2	23.0	15.6	7.2	20.4	10.5
Capital expenditure	28.1	13.0	74.7	22.8	7.6	15.8
	(In percent of GDP)					
Investment and savings						
Gross national savings 2/	11.0	7.5	6.4	8.7	11.3	13.2
Gross domestic investment	14.8	13.6	14.4	17.6	20.3	20.0
Of which: public investment	6.0	5.4	7.7	8.5	7.4	7.9
Central government budget						
Revenue and grants	26.8	24.8	24.5	27.8	23.6	24.2
Grants	6.1	5.0	6.4	9.1	4.6	4.5
Expenditures (excluding interest) 3/	22.6	20.9	24.4	28.4	23.9	24.6
Interest due 4/	4.8	4.1	3.3	2.3	2.6	2.3
Overall balance, cash basis	-2.6	-1.9	-4.3	-3.2	-1.3	-1.2
Overall balance, cash basis, excluding grants	-8.7	-7.0	-10.7	-12.3	-7.5	-7.3
External sector						
Current account balance 5/	-3.7	-6.2	-8.0	-8.8	-10.7	-8.3
	(In percent of exports of goods and services)					
External debt						
External debt service before rescheduling 6/	40.7	28.8	33.2	37 0	36.7	49.0
Net present value of total debt 6/	430.4	374.6	509.7	467.3	431.3	390.7
External program assistance	12.7	9.2	0.0	28.8	...	..
	(In millions of U.S dollars, unless otherwise indicated)					
Current account balance	-122	-239	-269	-281	-362	-302
Overall balance of payments	-105	-127	-249	-111	-294	-209
Gross official reserves (end of period)	186	213	44	165	306	403
In months of imports of goods and services	1.7	1.7	0.4	1.4	2.3	2.8

Sources: Zambian authorities; and Fund staff estimates and projections.

1/ GDP/average broad money.
2/ Gross national disposable income minus consumption.
3/ Including contingency reserve (1999-2001).
4/ After debt relief.
5/ U.S. dollar GDP calculated on the basis of changes in real GDP and U.S. GDP deflator (base year = 1998).
6/ External debt pertains to public and publicly guaranteed debt.

Table 3. Zambia: Sectoral GDP and Savings-Investment Balances, 1996-2001

	1996	1997	1998 Est.	1999 Program	2000 Program	2001
	(In billions of kwacha)					
Consumption	3,608	4,758	5,901	7,433	8,254	8,973
Government 1/	714	857	982	1,422	1,294	1,465
Private	2,894	3,901	4,919	6,011	6,961	7,508
Gross investment	582	701	900	1,378	1,849	2,023
Public	239	278	482	670	678	802
Private (including changes in stocks)	344	423	418	708	1,170	1,220
Exports of goods and services	1,344	1,715	1,831	2,611	3,288	3,920
Imports of goods and services	-1,590	-2,006	-2,391	-3,582	-4,273	-4,780
GDP at market prices	3,945	5,169	6,241	7,839	9,118	10,135
	(In percent of GDP)					
Consumption	91.5	92.0	94.6	94.8	90.5	88.5
Government 1/	18.1	16.6	15.7	18.1	14.2	14.5
Private	73.4	75.5	78.8	76.7	76.3	74.1
Gross investment	14.8	13.6	14.4	17.6	20.3	20.0
Public	6.0	5.4	7.7	8.5	7.4	7.9
Private (including changes in stocks)	8.7	8.2	6.7	9.0	12.8	12.0
Exports of goods and services	34.1	33.2	29.3	33.3	36.1	38.7
Imports of goods and services	-40.3	-38.8	-38.3	-45.7	-46.9	-47.2
External current account balance 2/	-3.7	-6.2	-8.0	-8.8	-9.0	-6.7
Gross domestic savings	8.5	8.0	5.4	5.2	9.5	11.5
Public 3/	2.6	3.2	2.4	0.5	4.9	5.2
Private	5.9	4.7	3.1	4.7	4.6	6.3
Gross national savings 4/	11.0	7.4	6.4	8.8	11.3	13.2
Public 5/	3.3	3.5	3.6	5.0	7.2	7.7
Private	7.7	3.9	2.8	3.8	4.1	5.5
	(Annual percentage change, unless otherwise indicated)					
Real GDP	6.6	3.3	-2.0	4.0	4.5	5.5
Of which: agriculture	28.6	-5.1	-6.1	8.8	7.3	6.4
mining	12.3	2.4	-11.0	3.5	6.0	6.0
manufacturing	2.5	7.4	3.0	3.0	4.0	6.0
construction	-1.3	33.8	-4.0	3.5	3.5	5.5
trade	13.1	2.4	-2.6	2.5	3.0	5.5
GDP deflator	23.4	26.8	23.1	20.8	11.3	5.4
Nominal GDP	31.6	31.0	20.7	25.6	16.3	11.2
Average consumer prices	43.1	24.4	24.5	21.6	11.6	5.3
Incremental capital-output ratio (ratio)	1.9	4.3	-6.8	3.6	3.9	3.7

Sources: Zambian authorities; and Fund staff estimates and projections.

1/ Current government expenditure, excluding subsidies, interest, transfers, and pensions.
2/ For 2000 and 2001, it is assumed that half of the projected financing gaps will be filled by additional program grants, and the other half by program loans.
3/ Government revenue (excluding grants) minus government consumption.
4/ Gross disposable national income minus total consumption.
5/ Revenue and grants minus current government expenditure (excluding transfers and pensions).

Table 4. Zambia: Central Government Operations, 1996-2001

	1996	1997	1998 Budget	1998 Act.	1999 Prog.	2000 Prog.	2001 Prog.
	(In billions of kwacha)						
Revenue and grants	1,058	1,283	1,674	1,529	2,177	2,153	2,449
Revenue	817	1,023	1,179	1,131	1,460	1,737	1,989
Tax revenue	751	967	1,089	1,094	1,400	1,677	1,920
Income taxes	245	327	384	398	480	575	658
Company income tax	49	60	66	90	117	140	160
Personal income tax	173	236	306	291	352	422	483
Pay-as-you-earn (PAYE)	129	180	245	249	303	363	416
Withholding tax	44	56	61	42	49	59	67
Extraction royalty	23	31	12	17	11	13	15
Excise taxes	127	168	230	211	262	314	359
Value-added tax (VAT)	137	184	197	200	270	323	370
Trade taxes	243	288	278	285	388	465	532
VAT on imports	110	110	123	103	165	198	226
Import tariffs	98	136	131	155	223	267	306
Import declaration fee	36	42	24	26	0	0	0
Nontax revenue	65	56	90	38	60	60	69
Fees and charges	12	39	34	17	28	34	38
Privatization receipts	27	2	0	1	10	0	0
Other receipts	26	15	56	20	22	26	30
Grants	242	260	495	398	717	415	460
Of which: project grants	215	249	284	398	457	415	460
Expenditures and net lending	1,080	1,293	1,591	1,725	2,257	2,248	2,533
Current expenditures	735	904	1,038	1,045	1,120	1,349	1,491
Wages and salaries	221	324	306	327	395	436	460
Public service retrenchment	0	2	116	77	80	67	75
Recurrent departmental charges	120	137	146	161	187	279	361
Transfers and pensions	96	127	167	149	192	223	248
Agricultural expenditure	30	3	16	15	17	20	22
Interest on public debt	188	213	206	203	177	241	234
Domestic debt	122	115	78	80	70	63	56
External debt 1/	66	97	128	123	107	178	178
Other current expenditures	79	98	81	112	72	83	92
Awards and compensations	23	14	15	6	5	5	5
Contingency	15	21	12	22	12	14	16
Zambia Revenue Authority	24	33	36	49	52	60	67
Other	17	30	18	35	3	3	4
Capital expenditures	345	390	553	680	836	899	1,042
Domestically financed	41	70	138	113	170	268	357
Of which: counterpart funds	36	48	...	25	100	95	103
Foreign financed	304	320	415	567	666	631	685
Net lending for ZCCM retrenchment (foreign financed)	0	0	0	0	151	0	0
Other net lending to ZCCM	0	0	0	0	151	0	0
Contingency	0	0	115	0	147	174	196
Change in balances and other 2/ 3/	-6	-21	0	46	0	0	0
Payments of domestic arrears	-51	-69	-35	-117	-23	0	0
Payments of external arrears 1/	-25	0	0	0	0	0	0
Overall balance (cash basis)	-103	-100	-67	-267	-250	-270	-280
Of which: domestic balance (cash basis) 4/	49	64	77	25	-44	124	123
Financing	103	100	67	267	250	-40	-30
Domestic financing	14	-4	-77	220	-109	-124	-123
Banking system	12	10	-68	224	-109	-100	-117
Nonbank financing	1	-14	-9	-3	0	-24	-6
External financing	90	103	144	47	360	84	93
Program loans	144	145	167	0	452	0	0
Project loans	89	71	131	169	209	216	225
Amortization due 1/	-144	-113	-154	-123	-301	-132	-132
Financing gap 5/	0	0	0	0	0	310	311
Memorandum items:	(In percent of GDP)						
Overall balance, cash basis 5/	-2.6	-1.9	-1.1	-4.3	-3.2	-1.3	-1.2
Overall balance, cash basis, excluding grants	-8.7	-7.0	-9.0	-10.7	-12.3	-7.5	-7.3
Domestic fiscal balance, cash basis 4/	1.2	1.2	1.2	0.4	-0.6	1.4	1.2
Wages and salaries	5.6	6.3	4.9	5.2	5.0	4.8	4.5
Domestically financed capital expenditure	1.0	1.4	2.2	1.8	2.2	2.9	3.5
Defense expenditures	1.2	1.1	1.0	1.6	0.8	0.8	0.8
Domestically financed health and education expenditures	4.8	5.0	4.4	4.2	4.3	4.3	4.3

Sources: Zambian authorities; and Fund staff estimates and projections.

1/ After debt relief.
2/ Float resulting from changes in deposits of line ministries at the Bank of Zambia.
3/ Includes difference between budget data and monetary data on net claims on the government.
4/ The domestic fiscal balance excludes foreign grants, external interest payments, and foreign-financed capital expenditure and net lending. In the 1998 budget, it also excluded K 96 billion of foreign-financed retrenchment outlays.
5/ For 2000 and 2001, it is assumed that half of the projected financing gaps will be filled by additional program grants, and the other half by program loans.

Table 5. Zambia: Central Government Operations, 1996-2001
(In percent of GDP)

	1996	1997	1998 Budget	1998 Act.	1999 Prog.	2000 Prog.	2001 Prog.
Revenue and grants	26.8	24 8	26.8	24.5	27.8	23.6	24.2
Revenue	20.7	19.8	18.9	18.1	18.6	19.1	19.6
Tax revenue	19.0	18.7	17.5	17.5	17.9	18.4	18.9
Income taxes	6.2	6.3	6.2	6.4	6.1	6.3	6 5
Company income tax	1.3	1.2	1.1	1.4	1.5	1.5	1.6
Personal income tax	4.4	4.6	4.9	4.7	4.5	4.6	4.8
Pay-as-you-earn (PAYE)	3.3	3.5	3.9	4.0	3.9	4.0	4.1
Withholding tax	1.1	1.1	1.0	0.7	0.6	0.6	0.7
Extraction royalty	0.6	0.6	0.2	0.3	0.1	0.1	0.1
Excise taxes	3.2	3.3	3.7	3.4	3.3	3.4	3.5
Value-added tax (VAT)	3.5	3.6	3.2	3.2	3.4	3.5	3.7
Trade taxes	6.2	5.6	4.5	4 6	4.9	5.1	5.3
VAT on imports	2.8	2.1	2.0	1.7	2.1	2.2	2.2
Import tariffs	2.5	2.6	2.1	2.5	2.8	2.9	3.0
Import declaration fee	0.9	0.8	0.4	0.4	0.0	0.0	0.0
Nontax revenue	1.7	1.1	1.4	0.6	0 8	0.7	0.7
Fees and charges	0.3	0.7	0.5	0.3	0.4	0 4	0.4
Privatization receipts	0.7	0.0	0.0	0.0	0.1	0.0	0.0
Other receipts	0.7	0.3	0.9	0.3	0.3	0.3	0.3
Grants	6.1	5.0	7.9	6 4	9.1	4.6	4.5
Of which: project grants	5.4	4.8	4.6	6.4	5.8	4.6	4.5
Expenditures and net lending	27.4	25.0	25.5	27.6	28.8	24.7	25.0
Current expenditures	18.6	17 5	16.6	16.7	14.3	14.8	14 7
Wages and salaries	5.6	6.3	4.9	5.2	5.0	4.8	4.5
Public service retrenchment	0.0	0.0	1.9	1.2	1.0	0.7	0.7
Recurrent departmental charges	3.0	2.6	2.3	2.6	2.4	3.1	3.6
Transfers and pensions	2.4	2 5	2.7	2.4	2.5	2.5	2.5
Agricultural expenditure	0.8	0.1	0.3	0.2	0.2	0.2	0.2
Interest on public debt	4.8	4.1	3.3	3.3	2.3	2.6	2.3
Domestic debt	3.1	2.2	1.2	1.3	0.9	0.7	0.6
External debt 1/	1.7	1.9	2.1	2.0	1.4	2.0	1.8
Other current expenditures	2.0	1.9	1.3	1.8	0.9	0.9	0.9
Awards and compensations	0.6	0.3	0.2	0.1	0.1	0.1	0.0
Contingency	0.4	0.4	0.2	0.4	0.2	0.2	0.2
Zambia Revenue Authority	0.6	0.6	0.6	0.8	0.7	0.7	0.7
Other	0 4	0.6	0.3	0.6	0.0	0.0	0.0
Capital expenditures	8.7	7.5	8.9	10.9	10.7	9.9	10.3
Domestically financed	1.0	1.4	2.2	1 8	2.2	2.9	3.5
Of which: counterpart funds	0.9	0.9	0.0	0.4	1.3	1.0	1.0
Foreign-financed	7.7	6.2	6.7	9 1	8.5	6.9	6 8
Net lending for ZCCM retrenchment (foreign financed)	0.0	0.0	0.0	0.0	1.9	0.0	0.0
Other net lending to ZCCM	0 0	0.0	0.0	0.0	1.9	0.0	0.0
Contingency	0.0	0.0	1.8	0.0	1.9	1.9	1.9
Change in balances and other 2/ 3/	-0.2	-0.4	0.0	0.7	0.0	0.0	0.0
Payments of domestic arrears	-1.3	-1.3	-0.6	-1.9	-0.3	0.0	0.0
Payments of external arrears 1/	-0.6	0.0	0.0	0.0	0.0	0.0	0.0
Overall balance (cash basis)	-2.6	-1.9	-1.1	-4.3	-3.2	-3.0	-2.8
Of which: domestic balance (cash basis) 4/	1.2	1.2	1.2	0.4	-0.6	1.4	1.2
Financing	2 6	1.9	1.1	4.3	3.2	-0.4	-0 3
Domestic financing	0.3	-0.1	-1.2	3.5	-1.4	-1.4	-1.2
Banking system	0.3	0.2	-1.1	3.6	-1 4	-1.1	-1.2
Nonbank financing	0.0	-0 3	-0.1	-0.1	0.0	-0.3	-0.1
External financing	2.3	2.0	2.3	0.7	4.6	0.9	0.9
Program loans	3.6	2.8	2.7	0.0	5.8	0.0	0.0
Project loans	2.3	1.4	2.1	2.7	2.7	2.4	2 2
Amortization due 1/	-3.6	-2.2	-2.5	-2.0	-3.8	-1.5	-1.3
Financing gap 5/	0.0	0.0	0.0	0.0	0.0	3 4	3.1

Sources: Zambian authorities; and Fund staff estimates and projections.

1/ After debt relief.
2/ Float resulting from changes in deposits of line ministries at the Bank of Zambia.
3/ Includes difference between budget data and monetary data on net claims on the government.
4/ The domestic fiscal balance excludes external transactions.
5/ For 2000 and 2001, it is assumed that half of the projected financing gaps will be filled by additional program grants, and the other half by program loans

Table 6. Zambia: Monetary Survey, 1996-2001
(End of period)

	1996	1997	1998				1999				2000	2001
			Mar.	Jun.	Sep.	Dec.	Mar.	Jun	Sep.	Dec.		
			Act.	Act.	Act.	Act.	Program				Prog.	Prog.
	(In billions of kwacha)											
Net foreign assets	-1,217	-1,129	-1,429	-1,689	-1,805	-2,262	-2,123	-2,124	-2,031	-2,010	-1,826	-1,633
Bank of Zambia	-1,394	-1,335	-1,659	-2,016	-2,159	-2,677	-2,550	-2,563	-2,500	-2,508	-2,389	-2,252
Assets	271	337	299	227	200	159	314	330	421	441	674	818
Liabilities	-1,665	-1,671	-1,959	-2,243	-2,359	-2,835	-2,864	-2,892	-2,921	-2,949	-3,063	-3,070
Of which : IMF	-1,552	-1,611	-1,890	-2,168	-2,286	-2,751	-2,784	-2,817	-2,849	-2,882	-3,012	-3,037
Commercial banks	176	206	230	327	354	415	427	439	469	498	563	619
Assets	191	225	252	342	382	457	469	481	511	540	605	661
Liabilities	-14	-19	-22	-15	-28	-42	-42	-42	-42	-42	-42	-42
Net domestic assets	1,944	2,031	2,301	2,626	2,821	3,367	3,328	3,404	3,331	3,340	3,326	3,279
Net domestic credit	542	579	704	820	904	1,106	1,068	1,143	1,071	1,079	1,066	1,019
Net claims on government	113	122	242	307	353	557	556	647	514	448	348	231
Claims on government	397	446	502	583	641	820	819	911	777	711	611	494
Government deposits	-284	-324	-260	-276	-287	-263	-263	-263	-263	-263	-263	-263
Claims on nongovernment	429	457	462	514	551	549	512	496	557	632	718	788
Other items (net)	1,402	1,451	1,596	1,806	1,917	2,261	2,261	2,261	2,261	2,261	2,261	2,261
Broad money	727	901	872	937	1,015	1,105	1,205	1,280	1,300	1,330	1,501	1,646
Narrow money	270	355	357	351	366	398	434	460	468	478	540	592
Quasi money	457	546	515	586	649	708	772	820	832	851	961	1,054
Of which : foreign exchange deposits	161	207	220	316	367	394	430	456	463	474	535	587
	(Twelve-month percentage change)											
Net foreign assets	-23.6	7.2	-9.6	-35.8	-45.4	-100.3	-48.5	-25.7	-12.5	11.1	9.2	10.6
Net domestic assets	27.4	4.4	12.4	25.4	31.7	65.8	44.7	29.6	18.1	-0.8	-0.4	-1.4
Net domestic credit	36.3	6.9	18.0	32.9	58.6	91.0	51.6	39.4	18.4	-2.4	-1.2	-4.4
Net claims on government	22.7	8.4	24.3	75.8	-23.1	355.4	129.4	110.9	45.3	-19.6	-22.3	-33.7
Claims on nongovernment	40.4	6.5	14.9	16.0	25.9	20.2	10.8	-3.4	1.1	15.0	13.7	9.8
Other items (net)	24.3	3.5	10.1	22.3	22.0	55.7	41.6	25.2	17.9	0.0	0.0	0.0
Broad money	34.4	24.0	17.2	10.2	12.9	22.6	38.3	36.6	28.0	20.3	12.9	9.7
Narrow money	18.4	31.6	22.2	12.1	2.6	11.9	21.6	31.1	27.6	20.3	12.9	9.7
Quasi money	46.3	19.5	14.0	9.1	19.7	29.6	49.8	40.0	28.3	20.3	12.9	9.7
Of which : foreign exchange deposits	83.9	28.9	55.9	79.6	113.8	89.9	95.2	44.4	26.2	20.3	12.9	9.7
	(Change in percent of beginning-of-year broad money)											
Net foreign assets	-43.0	12.1	-33.3	-62.1	-75.0	-125.6	12.5	12.5	20.9	22.8	13.9	12.8
Net domestic assets	77.4	11.9	30.0	66.1	87.7	148.2	-3.5	3.4	-3.2	-2.4	-1.0	-3.1
Net domestic credit	26.7	5.1	13.9	26.8	36.1	58.5	-3.5	3.4	-3.2	-2.4	-1.0	-3.1
Net claims on government	3.9	1.3	13.3	-13.6	25.7	48.2	-0.1	8.2	-3.9	-9.9	-7.5	-7.8
Claims on nongovernment	22.8	3.8	0.6	6.3	10.4	10.3	-3.4	-4.8	0.7	7.5	6.5	4.7
Other items (net)	50.7	6.7	16.1	39.3	51.6	89.8	0.0	0.0	0.0	0.0	0.0	0.0
Broad money	34.4	24.0	-3.3	3.9	12.7	22.6	9.1	15.8	17.6	20.3	12.9	9.7
Narrow money	7.7	11.7	0.1	-0.4	1.3	4.7	3.3	5.7	6.3	7.3	4.6	3.5
Quasi money	26.7	12.3	-3.5	4.4	11.4	17.9	5.8	10.1	11.3	13.0	8.2	6.2
Of which : foreign exchange deposits	13.6	6.4	1.4	12.0	17.7	20.7	3.2	5.6	6.3	7.2	4.6	3.5
Memorandum items:												
Foreign exchange deposits (in percent of broad money)	22.1	23.0	25.3	33.7	36.2	35.6	35.6	35.6	35.6	35.6	35.6	35.6
Money multiplier 1/	4.3	4.2	4.1	3.8	4.0	3.8	3.9	3.9	3.9	3.9	3.9	4.0
Money multiplier (kwacha only) 1/	3.6	3.5	3.4	2.8	2.8	2.7	2.7	2.8	2.8	2.8	2.8	2.8
Currency (in percent of kwacha deposits)	27.7	28.4	30.5	38.7	35.3	36.3	36.3	36.4	36.5	36.5	36.7	36.8
Velocity (GDP/average broad money)	6.0	6.3	6.4	6.4	5.9	6.5	6.5	6.4	6.3	6.3	6.4	6.4

Sources: Zambian authorities; and Fund staff estimates and projections.

1/ Ratio of broad money to reserve money.

Table 7. Zambia: Assets and Liabilities of the Bank of Zambia, 1996-2001
(End of period)

	1996	1997	1998				1999				2000	2001
			Mar.	Jun.	Sep.	Dec.	Mar.	Jun.	Sep.	Dec.		
			Act.	Act.	Act.	Act.	Program				Prog.	Prog.
	(In billions of kwacha)											
Net international reserves	-1,394	-1,335	-1,659	-2,016	-2,159	-2,677	-2,550	-2,563	-2,500	-2,508	-2,389	-2,252
Assets	271	337	299	227	200	159	314	330	421	441	674	818
Liabilities	-1,665	-1,671	-1,959	-2,243	-2,359	-2,835	-2,864	-2,892	-2,921	-2,949	-3,063	-3,070
Of which : IMF (net)	-1,552	-1,611	-1,890	-2,168	-2,286	-2,751	-2,784	-2,817	-2,849	-2,882	-3,012	-3,037
Net domestic assets	1,563	1,547	1,871	2,260	2,412	2,965	2,862	2,892	2,834	2,849	2,769	2,666
Net domestic credit	139	121	267	432	482	685	581	612	554	568	489	386
Net claims on government	-46	-37	112	224	275	489	383	394	334	345	295	195
Claims on government	181	224	329	448	502	665	559	570	540	551	501	401
Government deposits	-226	-260	-217	-224	-227	-176	-176	-176	-206	-206	-206	-206
Claims on nongovernment	185	158	155	208	207	196	198	218	219	223	193	191
Of which : claims on banks	160	131	126	178	177	161	164	183	185	189	159	156
Other items (net)	1,424	1,426	1,604	1,828	1,930	2,280	2,280	2,280	2,280	2,280	2,280	2,280
Of which : foreign exchange valuation accounts	381	506	783	1,026	1,076	1,451	1,451	1,451	1,451	1,451	1,451	1,451
Reserve money	169	212	211	244	253	288	312	329	334	341	380	414
Currency in circulation	127	158	157	179	175	196	213	227	230	236	266	292
Required reserves (kwacha deposits)	29	33	33	34	36	36	40	42	43	44	49	54
Required reserves (foreign exchange deposits)	11	16	18	21	23	27	29	31	31	32	36	39
Current accounts	0	5	2	9	18	29	29	29	29	29	29	29
Nongovernment deposits	2	1	1	1	1	1	1	1	1	1	1	1
Memorandum items:	(In percent)											
Twelve-month growth of net domestic assets	30.5	-1.0	14.8	39.7	48.9	91.6	53.0	28.0	17.5	-3.9	-2.8	-3.7
Twelve-month growth of reserve money	60.3	25.7	24.0	28.8	17.5	35.7	47.4	35.0	32.0	18.2	11.7	8.9

Sources: Zambian authorities; and Fund staff estimates and projections.

Table 8 Zambia: Balance of Payments, 1996-2001

(In millions of U. S. dollars, unless otherwise indicated)

	1996	1997	1998	1999	2000	2001
			Est.	Program		
Current account balance	-122	-239	-269	-281	-362	-302
Excluding official transfers	-426	-437	-509	-632	-604	-550
Trade balance	-62	-27	-148	-233	-201	-141
Exports, f.o.b.	993	1,191	874	940	1,078	1,236
Metal sector	754	895	585	623	707	817
Nonmetal	239	296	288	317	371	419
Imports, c.i.f.	-1,056	-1,218	-1,022	-1,173	-1,280	-1,377
Metal sector	-237	-291	-216	-330	-413	-438
Nonmetal	-818	-927	-806	-843	-867	-939
Services balance	-347	-394	-347	-384	-384	-390
Factor services (net)	-206	-205	-193	-217	-220	-223
Of which: interest payments	-198	-195	-179	-199	-199	-197
Nonfactor services (net)	-141	-189	-154	-166	-164	-167
Receipts	120	114	110	125	147	168
Payments	-261	-303	-264	-291	-312	-335
Unrequited transfers (net)	287	182	226	335	224	229
Private	-17	-16	-14	-16	-18	-19
Official 1/	304	198	240	351	242	249
Capital account balance	49	166	-5	171	69	92
Official loan disbursement (net)	-49	9	-45	109	-153	-156
Disbursement	206	190	91	311	105	110
Project loans	87	79	91	116	105	110
Program loans 1/	119	111	0	195	0	0
Multilateral	119	111	0	195	0	0
Bilateral	0	0	0	0	0	0
Amortization (-)	-255	-181	-136	-202	-258	-266
Private capital (net)	98	157	40	62	222	248
Of which: direct investment	117	207	219	250	285	327
Errors and omissions	-8	-54	25	0	0	0
Overall balance	-80	-127	-249	-111	-294	-209
Financing	80	127	249	-108	-120	-116
Change in net international reserves of Bank of Zambia (- increase)	-31	-24	162	-73	-92	-91
Gross official reserves	-3	-27	169	-122	-141	-97
IMF (net)	0	13	0	56	56	11
Other liabilities	-27	-11	-7	-7	-7	-5
Change in net foreign assets of commercial banks	-22	-8	-34	-36	-28	-24
Debt relief 2/	310	159	122	0	0	0
Net change in arrears (+ increase) 3/	-176	0	0	0	0	0
Financing gap (+) 4/	0	0	0	219	413	325
Memorandum items:						
Current account balance (percent of GDP)	-3.7	-6.2	-8.0	-8.8	-10.7	-8.3
Excluding official transfers	-13.0	-11.3	-15.2	-19.8	-17.8	-15.2
Of which: nonmetal	-23.8	-22.9	-22.2	-23.9	-21.0	-20.1
Export volume (percentage change)	9.4	7.0	-12.4	11.8	11.8	7.0
Import volume (percentage change)	-10.9	25.3	-10.2	13.2	7.2	6.5
Terms of trade (percentage change)	-22.8	21.6	-10.3	-5.1	0.8	6.0
Copper volume (thousands of MT)	327	301	259	300	330	347
Copper price (US$/lb)	0.79	0.98	0.75	0.68	0.70	0.79
Gross official reserves 5/	186	213	44	165	306	403
(in months of imports)	1.7	1.7	0.4	1.4	2.3	2.8

Sources: Zambian authorities; and Fund staff estimates and projections.

1/ Projections for program grants and loans reflect existing commitments and preliminary indications for 1999.
2/ Reflects 1996 Paris Club rescheduling agreement and comparable terms from other bilateral creditors, as well as the May 1997 restructuring of Camdex's (a foreign debt-trading company) claim on the Bank of Zambia.
3/ Excluding changes in arrears to the Fund, which are reflected in the "IMF net" category and in changes in net reserves.
4/ The financing gaps shown do not reflect any new rescheduling from Paris Club creditors.
5/ Gross reserves include balances in special Bank of International Settlements account established in accordance with the 1996 Paris Club accord, but exclude the Meridien Bank deposits of US$25 million.

Table 9. Zambia: Public Sector External Debt, 1996-2001

	1996	1997	1998 Est.	1999	2000 Program	2001
			(In millions of U.S. dollars)			
Total medium- and long-term debt 1/	6,880	6,924	6,613	7,056	7,244	7,490
Multilateral debt	3,381	3,397	3,412	3,784	3,895	3,962
IMF	1,198	1,138	1,132	1,244	1,298	1,309
Other	2,182	2,259	2,280	2,540	2,597	2,653
Bilateral debt (official)	3,345	3,431	3,140	3,233	3,319	3,504
Paris Club	2,936	3,022	2,732	2,824	2,910	3,095
Other	409	409	409	409	409	409
Suppliers and other 2/	154	95	60	38	30	24
			(In percent of GDP)			
Total medium- and long-term debt 1/	210	179	197	221	213	206
Multilateral debt	103	88	102	118	115	109
Bilateral debt (official)	102	89	94	101	98	97
Paris Club	90	78	81	88	86	85
Other	12	11	12	13	12	11
Suppliers and other 2/	5	2	2	1	1	1
			(In percent of exports of goods and nonfactor services)			
Total medium- and long-term debt 1/	618	531	673	663	591	533
Multilateral debt	304	260	347	355	318	282
Bilateral debt (official)	300	263	319	304	271	250
Paris Club	264	232	278	265	237	220
Other	37	31	42	38	33	29
Suppliers and other 2/	14	7	6	4	2	2
Memorandum items:						
Nonrescheduable debt 3/	60	59	57	58	58	59
Multilateral debt	49	49	52	54	54	53
Post-cutoff bilateral debt	11	10	5	5	4	6
Short-term debt (millions of U.S. dollars)	205	47	0	0	0	0

Sources: Zambian authorities; and Fund staff estimates and projections.

1/ Medium- and long-term debt contracted or guaranteed by the government.
2/ Excludes "dormant" commercial debt not tendered in 1994 buyback, which the authorities estimate to be US$85 million.
3/ As percent of total debt.

Table 10. Zambia: Domestic Debt of the Central Government, 1996-2001
(In billions of kwacha, unless otherwise indicated; end of year)

	1996	1997	1998	1999	2000	2001
				Projections		
Treasury bills 1/	235.4	247.9	217.4	409.3	275.3	152.3
Bank of Zambia	12.9	6.8	17.2	207.2	157.2	57.2
Commercial banks	164.1	195.3	154.9	159.2	101.8	84.7
Other	58.4	45.8	45.3	42.8	16.3	10.3
Ordinary bonds	29.7	36.3	25.4	30.0	40.0	40.0
Bank of Zambia	9.8	1.1	1.3	0.0	0.0	0.0
Commercial banks	16.6	30.1	19.0	22.4	29.9	29.9
Other	3.3	5.1	5.1	7.6	10.1	10.1
Statutory bonds 2/	37.6	18.8	0.0	0.0	0.0	0.0
Bank of Zambia	3.8	2.1	0.0	0.0	0.0	0.0
Commercial banks	29.0	14.5	0.0	0.0	0.0	0.0
Other	4.8	2.2	0.0	0.0	0.0	0.0
Other special bonds and bills	21.3	20.0	20.0	20.0	20.0	20.0
Bank of Zambia	20.0	20.0	20.0	20.0	20.0	20.0
Commercial banks	0.0	0.0	0.0	0.0	0.0	0.0
Other	1.3	0.0	0.0	0.0	0.0	0.0
Bank of Zambia foreign exchange loan 3/	132.6	192.5	627.8	324.3	324.3	324.3
Loans and advances	6.4	0.6	2.1	0.0	0.0	0.0
Total stock of debt	463.0	516.1	892.7	783.5	659.6	536.5
In percent of GDP	11.7	10.0	14.3	10.0	7.2	5.3

Source: Bank of Zambia.

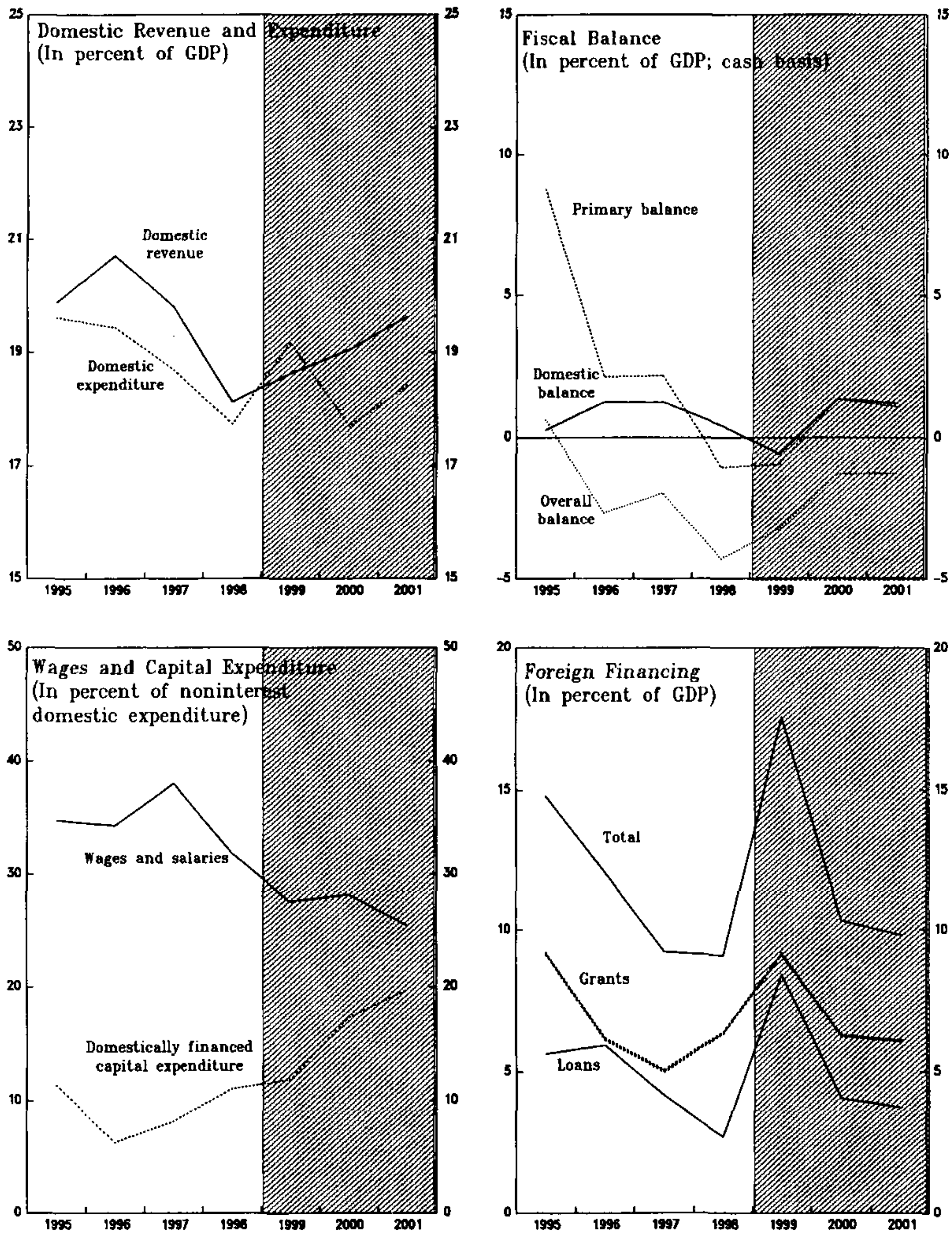
1/ Face value.
2/ Bonds issued in 1995 to commercial banks for monetary policy reasons.
3/ U.S. dollar-denominated loan from the BoZ to the government to cover net external debt-service payments.

Table 11. Zambia: Schedule of Disbursements Under the ESAF Arrangement, 1999-2001 1/

Amount (in millions of SDRs)	Availability Date	Conditions Necessary for a Disbursement
10.00	March 29, 1999	Board approval of the three-year arrangement and endorsement of annual program.
10.00	May 15, 1999	Observance of March 31, 1999 performance criteria.
10.00	August 15, 1999	Observance of June 30, 1999 performance criteria and completion of first review.
10.00	November 15, 1999	Observance of September 30, 1999 performance criteria.
10.00	February 15, 2000	Observance of December 31, 1999 performance criteria and completion of second review.
10.00	May 15, 2000	Observance of March 31, 2000 performance criteria.
10.00	August 15, 2000	Observance of June 30, 2000 performance criteria.
10.00	November 15, 2000	Observance of September 30, 2000 performance criteria.
10.00	February 15, 2001	Observance of December 31, 2000 performance criteria.
10.00	May 15, 2001	Observance of March 31, 2001 performance criteria.
10.00	August 15, 2001	Observance of June 30, 2001 performance criteria.
10.00	November 15, 2001	Observance of September 30, 2001 performance criteria.

1/ The number and timing of reviews for the second and third years are to be determined at a later date.

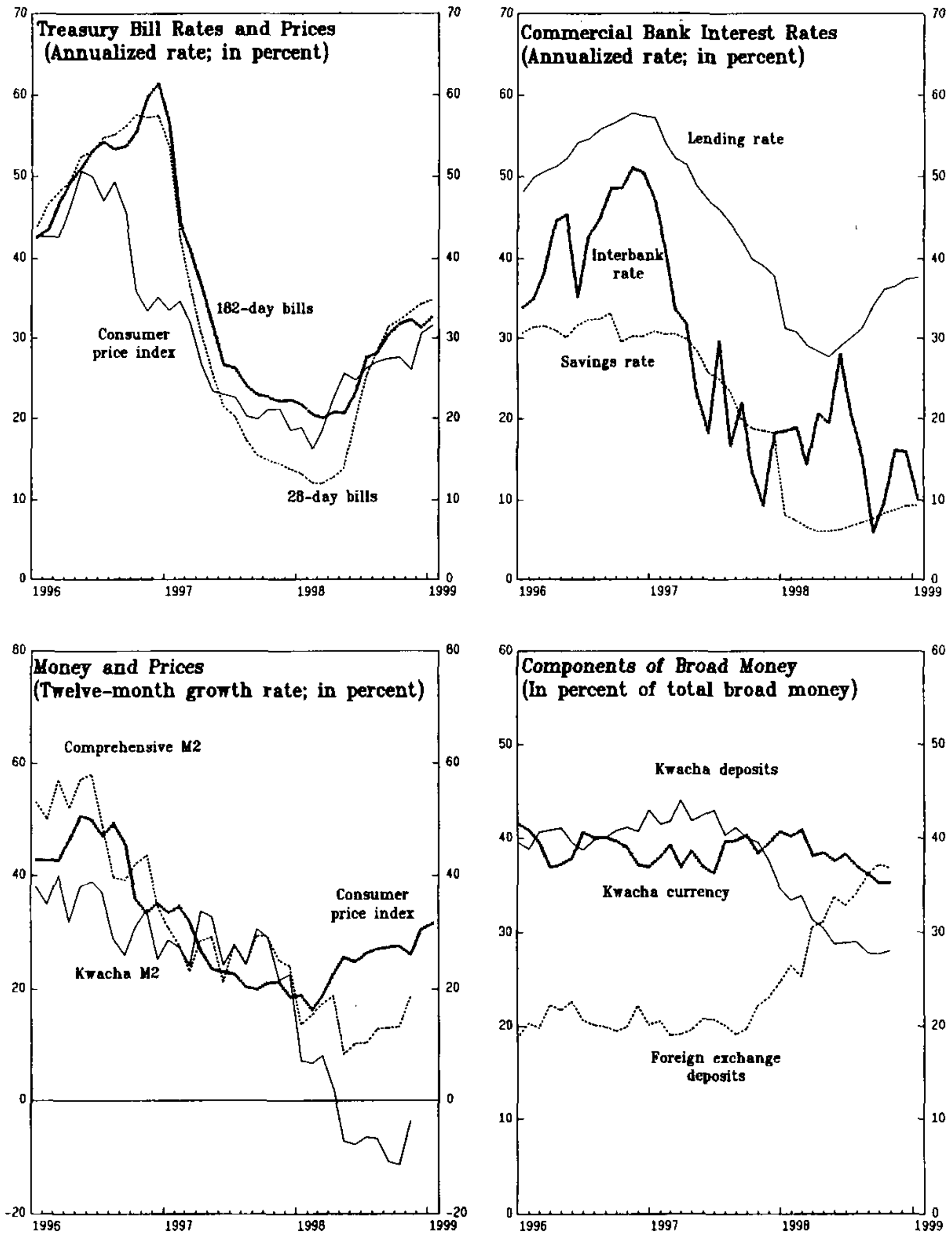
Figure 1. Zambia: Selected Fiscal Indicators, 1995-2001 1/



Sources: Zambia authorities; and Fund staff estimates and projections.

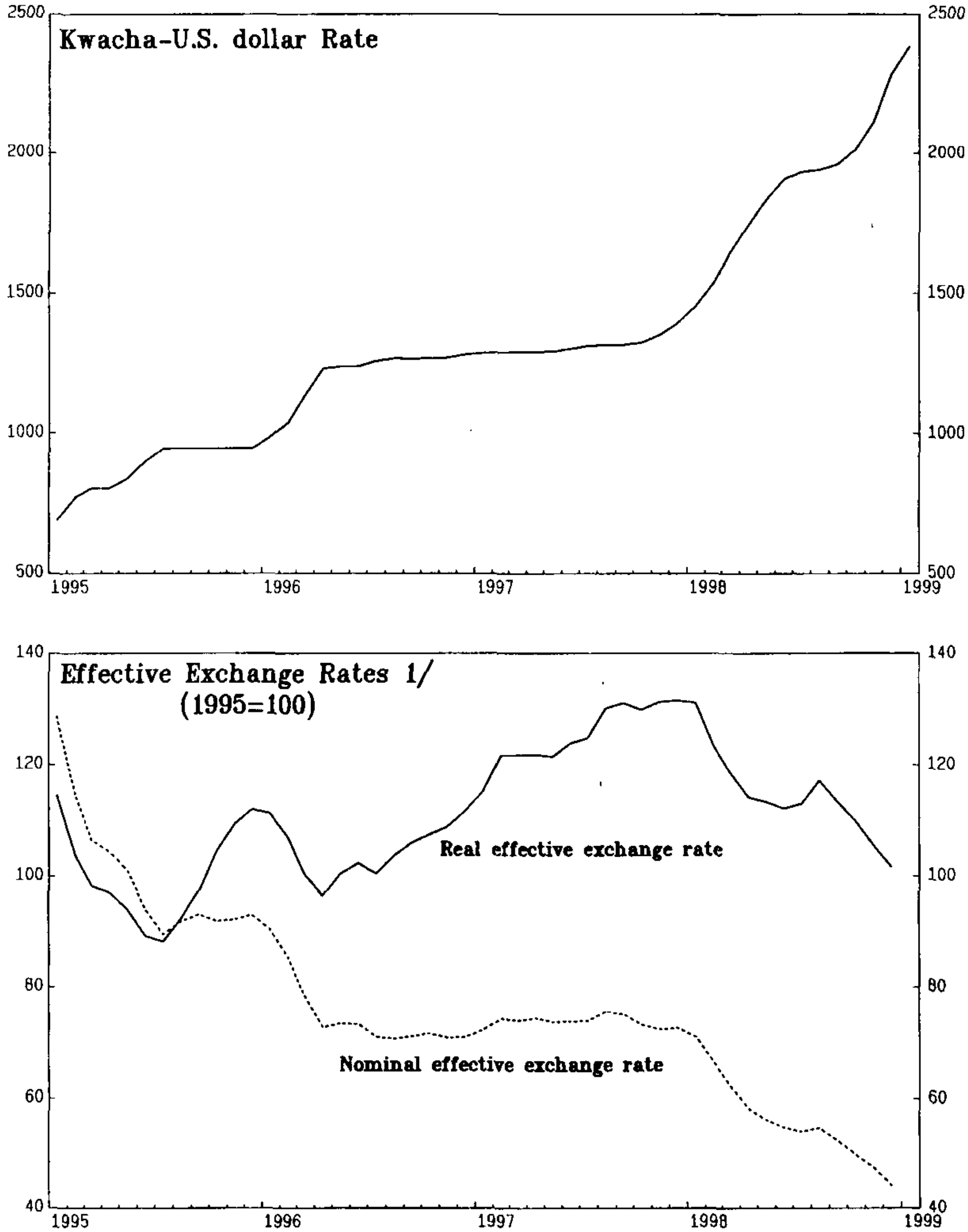
1/ Shaded area indicates projections.

Figure 2. Zambia: Selected Monetary Indicators, January 1996–January 1999



Sources: Bank of Zambia; and Ministry of Finance.

Figure 3. Zambia: Selected Exchange Rate Indicators, January 1995–January 1999



Sources: IMF, Information Notice System; and Fund staff estimates.

1/ Weighted by total trade. A rise in the index indicates a real appreciation of the kwacha.

Zambia: Three-Year Arrangement under the Enhanced Structural Adjustment Facility

Attached hereto is a letter (the "Letter") with annexed memorandum of economic and financial policies (the "Memorandum") dated March 10, 1999, from the Minister of Finance and Economic Development of Zambia, requesting from the Fund as Trustee of the Enhanced Structural Adjustment Facility Trust ("the Trustee") a three-year arrangement under the Enhanced Structural Adjustment Facility, and setting forth:

(a) the objectives and policies of the program that the authorities of Zambia intend to pursue during the three-year period of the arrangement;

(b) the objectives, policies, and measures that the authorities of Zambia intend to pursue during the first year of the arrangement; and

(c) understandings of Zambia with the Trustee regarding reviews that will be made of progress in realizing the objectives of the program and of the policies and measures that the authorities of Zambia will pursue for the second and third years of the arrangement.

To support these objectives and policies, the Trustee grants the requested three-year arrangement in accordance with the following provisions, and subject to the provisions applying to assistance under the Enhanced Structural Adjustment Facility Trust.

1. (a) For a period of three years from January 1, 1999, Zambia will have the right to obtain loan disbursements from the Trustee in a total amount equivalent to SDR 254.45 million, subject to the availability of resources in the Enhanced Structural Adjustment Facility Trust.

(b) Disbursements under this arrangement shall not exceed the equivalent of SDR 40 million until December 31, 1999, and the equivalent of SDR 80 million until December 31, 2000.

(c) During the first year of the arrangement:

(i) the first disbursement, in an amount equivalent to SDR 10 million, will be available upon approval of this arrangement, at the request of Zambia; and

(ii) the second, third, and fourth disbursements, each in an amount equivalent to SDR 10 million, will be available on May 15, August 15, and November 15, 1999, respectively, at the request of Zambia and subject to paragraph 2 below.

(d) The right of Zambia to request disbursements during the second and third years of this arrangement shall be subject to such phasing and conditions as shall be determined.

2. Zambia will not request any of the disbursements specified in paragraph 1(c)(ii) above:

(a) If the Managing Director of the Trustee finds that the data at the end of the preceding period indicate that:

- (i) the ceiling on the increase in net domestic assets of the Central Bank of Zambia, or
- (ii) the ceiling on the increase in net bank claims on the government, or
- (iii) the floor on the domestic fiscal balance of the government, or
- (iv) the ceiling on the outstanding stock of domestic arrears of the government, or,
- (v) the floor on net international reserves of the Bank of Zambia, or
- (vi) the ceiling on the stock of short-term debt (with an original maturity not exceeding one year) contracted or guaranteed by the central government or the Bank of Zambia, excluding normal trade credits for imports, or
- (vii) the size of the public service,

as specified in Table 1 of the Memorandum, is not observed; or

(b) if Zambia has not carried out its intentions regarding

- (i) the transfer of ownership, by March 31, 1999, of the major asset packages of the ZCCM (the Nchanga and Nkana Divisions, and the Konkola Deep mining project); or
- (ii) the submission to the President, by April 30, 1999, of recommendations on the establishment of an actuarially sound civil service pension system; or
- (iii) the offering for sale, by September 30, 1999, of a minority stake and the management rights in ZAMTEL; or
- (iv) the abstention, at all times, from new tax reductions, exemptions, rebates, or any other form of preferential tax treatment, with the exception of the suspension of import duties on agricultural machinery and equipment, and the tax concessions agreed in the context of the privatization of ZCCM;

as specified in Table 2 of the Memorandum, or

(c) if, at any time during the first year of the arrangement:

- (i) Zambia incurs any external payments arrears, or
- (ii) the central government or the Bank of Zambia contracts or guarantees new non-confessional medium- or long-term (with an original maturity exceeding one-year) external loans,

as specified in Table 1 of the Memorandum, or

(d) if Zambia:
  (i) has imposed or intensified restrictions on payments and transfers for current international transactions, or
  (ii) has introduced or modified multiple currency practices, or
  (iii) has concluded bilateral payments agreements which are inconsistent with Article VIII, or
  (iv) has imposed or intensified import restrictions for balance of payments reasons, or

(e) after June 31, 1999, until the Trustee has determined that the review of Zambia's program referred to in paragraph 35 of the Memorandum, has been completed.

When Zambia is prevented from requesting disbursements under this arrangement because of this paragraph 2, such disbursements will be resumed only after consultation has taken place between the Trustee and Zambia and understandings have been reached regarding the circumstances in which Zambia may request further disbursements.

3. In accordance with paragraph 3 of the Letter, Zambia will provide the Trustee with such information as the Trustee requests in connection with the progress of Zambia in implementing the policies and reaching the objectives of the program supported by this arrangement.

4. During the period of this arrangement Zambia shall remain in close consultation with the Trustee. In accordance with paragraph 3 of the Letter, Zambia will consult with the Trustee on the adoption of any measures that may be appropriate at the initiative of the government or whenever the Managing Director of the Trustee requests such a consultation. Moreover, after the period of this arrangement and while Zambia has outstanding financial obligations to the Trustee arising from loan disbursements under this arrangement, Zambia will consult with the Trustee from time to time, at the initiative of the government or whenever the Managing Director of the Trustee request consultation on Zambia's economic and financial policies. These consultations may include correspondence and visits of officials of the Trustee to Zambia or of representatives of Zambia to the Trustee.

Lusaka, March 10, 1999

Mr. Michel Camdessus
Managing Director
International Monetary Fund
Washington, D.C. 20431

Dear Mr. Camdessus,

During the last few years, Zambia has continued to make progress in stabilizing the economy and implementing structural reforms, including the privatization of state enterprises, the reform of the public service, and the strengthening of the banking sector. The country has experienced a strong growth of economic activity in the nontraditional sectors since the start of our adjustment program, and the fight against inflation has born results. The recent progress on the privatization of the copper mines has been crucial in creating an enabling environment for economic growth in the coming years. Notwithstanding these encouraging developments, Zambia's economic recovery remains fragile, and we must continue with our macroeconomic stabilization and structural reform efforts in order to establish the conditions for sustained economic growth.

The attached Memorandum of Economic and Financial Policies of the government of Zambia describes the policy objectives for 1999. The government's medium-term macroeconomic and sectoral policy objectives are embodied in a policy framework paper (PFP) for the period 1999-2001. In support of the program for 1999-2001, the government hereby requests a three-year arrangement from the Fund under the Enhanced Structural Adjustment Facility in an amount equivalent to SDR 254.45 million (52 percent of quota).

We believe that the policies and measures set forth in the attached Memorandum are adequate to achieve the objectives of the program, but will, if necessary, take any additional measures deemed necessary for this purpose. During the period of the arrangement, we will consult with the Fund on the adoption of any such measures in accordance with the Fund's policies on such consultations. The government of Zambia will provide the Fund with any information that may be requested for the purpose of monitoring progress under the program.

Yours sincerely,

/s/

E.Z. Nawakwi
Minister of Finance and
Economic Development

Attachment: Memorandum of Economic and Financial Policies

ZAMBIA

Memorandum of Economic and Financial Policies

March 10, 1999

I. INTRODUCTION

1. This memorandum summarizes the government's medium-term adjustment strategy for the period 1999-2001[1] and presents its economic and financial program for 1999.

II. MEDIUM-TERM ADJUSTMENT STRATEGY

2. Our **main macroeconomic objectives** for the period 1999-2001 are to achieve average economic growth of about 5 percent a year, further reduce inflation, and strengthen the external position. To that end, we will continue our stabilization efforts through prudent financial policies, complemented by structural reforms, specifically public service reform, privatization, a strengthening of the banking sector, an improved legal framework and the provision of growth-enabling infrastructure. These reforms will be essential for removing the bottlenecks that hamper the development of the private sector, which, in turn, will create the conditions for making a dent in the widespread poverty through job creation in the private sector.

3. The **main sources of economic growth** over the medium term are in mining, agriculture, tourism, and export-oriented manufacturing:

- We expect **copper production** to grow by some 10 percent a year during 1999-2001. In the wake of the recent economic crises in Asia, the copper price has weakened considerably and is projected at about US$1,600 per metric ton over the medium term.

- The government recognizes that **sustained growth in agriculture**, which contributed about one-fifth of GDP over the 1990-97 period, will require the elimination of bottlenecks on the supply side, notably through improved roads, increased access of farmers to new production and harvest technologies, and wider access to financing. The government will also emphasize and stimulate the role of the private sector in agriculture and refrain from intervening in the marketing of agricultural products and input supply, except in the context of officially declared emergencies and specifically

[1]The medium-term strategy is elaborated in the policy framework paper for 1999-2001.

targeted poverty reduction schemes. Agricultural production is projected to grow on average by some 7½ percent a year, driven importantly by the nontraditional sectors, including cotton, tobacco, horticulture, and floriculture. Past agricultural reforms, including the liberalization of prices and the privatization of support services, processing, and distribution, have encouraged new private sector initiatives.

- Several recent developments have affected **tourism** positively, including the establishment of a number of private airlines and the leasing to the private sector of government lodges.

- The restructuring of the **manufacturing sector** has been accelerated by trade and exchange reforms, as well as by progress in privatization and the removal of restrictions on private sector activities.

- The tariff reform of 1996 and the elimination of the import declaration fee in 1998 have been particularly beneficial in enhancing the attractiveness of producing for exports. A continuation of these policies should encourage further growth in these sectors.

4. The growth projections are predicated on normal weather conditions and a steady increase in investment to 21 percent of GDP in 2001 from 14½ percent in 1998, with the bulk of the increase originating from foreign investment in the mining sector. Improved macroeconomic conditions and a strengthened banking system should help raise the national savings rate by about 7 percentage points of GDP while reducing the savings-investment gap by about 1 percentage point between 1998 and 2001.

5. The **medium-term fiscal strategy** will aim at reducing the overall fiscal deficit to about 1 percent of GDP by 2001, which will require domestic fiscal surpluses of about 1¼ percent of GDP a year (excluding exceptional lending to the mining parastatal (ZCCM). In view of the limited scope for raising substantially the revenue- and expenditure-GDP ratios, the need for expanding investment in infrastructure and social services will require a significant reallocation of public outlays. The lowering of the combined wage and interest bill as a share of total expenditure over the medium term will create room for stepped-up expenditure in priority areas. As the scope for raising tax rates and introducing new taxes is limited, the revenue effort will need to come mainly from a further strengthening of tax administration, while avoiding new tax exemptions and special regimes. We also intend to undertake a study of the structure of corporate income tax rates, with a view to unifying these rates in a revenue-neutral manner.

6. The main **objective of monetary policy** is reducing inflation through an appropriately tight policy stance, notably by controlling the expansion of reserve money and maintaining positive real interest rates.

7. The **privatization of state enterprises** is key to the government's efforts to raise efficiency and bolster economic growth. In January 1999, the government and a foreign mining company reached firm understandings on the sale of the main asset packages of the ZCCM, which is expected to take place by end-March 1999. As regards the nonmining sector, we plan to do the following:

- offer for sale a minority shareholding and management rights in the telecommunications company (ZAMTEL);
- concessioning of the railway system;
- privatize the Zambia National Commercial Bank (ZANACO);
- instruct the Zambia Privatization Agency (ZPA) to explore the options for divestiture of the electricity company (ZESCO), parastatals in the transport sector (the Njanji Commuter Company and ZAMPOST), and the National Savings and Credit Bank; and
- ensure that the Zambian and Tanzanian privatization agencies will submit recommendations to their respective governments on options for private sector participation in the operations of the commonly owned TAZARA railway and TAZAMA pipeline.

8. The government adopted on September 1, 1997 a **comprehensive public service reform program**, with the twin objectives of reducing excess employment in the public sector and improving the delivery of public services by, inter alia, eventually offering a more competitive remuneration. Some 15,500 public workers were retrenched between December 1997 and end-1998 under this program. The original plan envisaged a reduction in the size of the public service to 80,000 employees by end-1999. However, an updated payroll analysis suggests that such a sharp reduction in the public service cannot be realized without reducing employment in education and health care. With the assistance of the World Bank, we are carrying out more detailed work to determine the optimal size of the civil service in the medium term. Nonetheless, for 1999, we are targeting a reduction in the number of civil servants to 112,500, which entails removing 7,000 civil servants from the payroll through retrenchment, natural attrition, and the hiving off of public institutions. Owing to delays in the retrenchment of pensionable civil servants in 1998, we envisage an extension of the timetable for the implementation of a revised program through 2001. A new civil service remuneration structure, which will address, inter alia, the significant compression in the pay scales, will be introduced after the substantial completion of the retrenchments, but with the understanding that the central government wage bill will not exceed 5 percent of GDP.

9. The **liberalization of the trade regime** has contributed importantly to the expansion of private sector activity. The government intends to complete this process by following up on its commitments under the Cross-Border Initiative, as well as by reducing import tariffs to a weighted average of close to 10 percent. To this end, we also intend to reduce the maximum import tariff rate from 25 percent to 20 percent by 2001.

10. During 1999-2001, we intend to make significant progress toward the **attainment of external viability** by

- fostering a stable macroeconomic environment;
- maintaining trade and exchange rate policies that are conducive to the further expansion of nontraditional exports;
- revitalizing the mining sector, led by the privatization of the ZCCM;
- raising national savings; and
- increasing gross official reserves to the equivalent of about three months of imports.

11. Zambia's **heavy external public debt burden** will require continued reliance on debt relief and concessional balance of payments assistance for the foreseeable future. We intend to make a request for debt relief under existing mechanisms in early 1999. In addition, we hope to qualify for assistance under the Heavily Indebted Poor Countries (HIPC) Initiative, as it is not expected that the external debt burden can be reduced to sustainable levels without such supplementary debt relief. We recognize that consideration for participation in the HIPC Initiative will require a strong track record under Fund- and Bank-supported programs, improvements in our capacity to produce accurate debt and external sector statistics, and the maintenance of an accurate database on social sector outlays.

12. The **widespread poverty** in Zambia remains a key concern. The government has prepared a National Poverty Reduction Plan, which aims to reduce the overall incidence of poverty from the current 70 percent of the population to 50 percent by the year 2004. This is to be achieved through rural development, increased investment in infrastructure, the development of human resources, and targeted poverty reduction programs. In this regard, we intend to allocate at least 36 percent of domestic expenditure (excluding debt service) to the social sectors in 1999-2001. We also intend to promote the construction of dwellings and home ownership through the President's housing initiative, which is expected to gain momentum in 1999.

III. THE PROGRAM FOR 1999

13. The government's macroeconomic objectives for 1999 are to achieve real GDP growth of 4 percent; reduce inflation to 15 percent (end-of-year basis); and strengthen the external position by adding some US$120 million to gross international reserves. The principal structural reforms in 1999 relate to public service reform, privatization, and the strengthening of the banking sector.

A. The Budget for 1999

14. Our main fiscal policy objectives are to reduce inflation, to reconfigure the expenditure profile toward high-priority sectors, and to contribute to an increase in national savings. We will aim at limiting the **overall fiscal deficit** to K 250 billion (3.2 percent of GDP) and attach great importance to controlling firmly the government wage bill and implementing a restrained public service wage policy. As part of the budget process, we will in 1999 continue to operate a contingency reserve mechanism to cope better with unforeseen outlays and revenue shortfalls.

15. **Domestic revenue** is programmed to increase by 30 percent to K 1,460 billion in 1999, which takes into account the improvements in tax administration, notably in personal and company income taxes.[2] Also, we are continuing to step up our efforts to combat smuggling and customs fraud. In this regard, as part of the customs modernization project, antismuggling operations started in November 1997, and the collection of excise duties was tightened, including through the closure of major loopholes, during 1998. Furthermore, we expect positive effects on value-added tax (VAT) and customs revenue from the ongoing computerization of controls on removals in bond and transit and customs declarations, as well as from increased cooperation with customs officials in neighboring countries.

16. To achieve the targeted improvement in revenue performance, it will be crucial to maintain the integrity of the tax system. With a view to protecting the tax base, we have revoked import duty and import VAT exemptions granted in September-October 1998 to

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[2]The modernization program for direct taxes includes the following measures, which were substantially completed by mid-1998: (i) revised procedures to improve the issuance of tax returns and assessments; (ii) procedures for the systematic management of tax arrears; (iii) systematic control procedures for the examination of accounts; and (iv) the reallocation of staff to areas of greatest revenue return. On the basis of a review of direct tax legislation completed in October 1997, legislative amendments to ensure appropriate powers for the charging of pay-as-you-earn (PAYE) taxes and the provisional tax were introduced in 1998.

three companies,[3] including ZESCO. We will ensure that the duty exemptions granted to the parliament[4] will be limited to goods imported through the National Assembly for use by parliamentarians in performing their official duties. In practice, this exemption will apply only to the importation of one official car for each parliamentarian. In addition, we will refrain from introducing any tax reductions, new exemptions, rebates, or any other preferential tax treatment in 1999, except for the suspension of import duties on agricultural machinery and equipment, and the specific tax concessions that were made in the context of the privatization of the ZCCM.

17. **Total domestic expenditures** (excluding the contingency reserve) in 1999 will increase by 29 percent to K 1,333 billion. As regards current outlays, the wage bill will increase by 21 percent to K 395 billion (5 percent of GDP), which will be achieved by limiting the average per worker pay increase to 22 percent (including wage drift), retrenching public workers, and setting limits on employment levels in 1999 (see ¶26 below). Domestically financed capital expenditure will increase by 23 percent over the 1998 budget provision, to K 170 billion. More than 25 percent of this amount will be used to improve the road infrastructure, and about 10 percent of the funds will be spent on water and sanitation facilities. Foreign-financed capital expenditure is projected at K 666 billion, of which more than 30 percent will be spent in the social sectors, 36 percent on infrastructure, about 13 percent in the agricultural sector, and about 9 percent on private sector development. Exceptional charges in this year's budget consist of the retrenchment costs for 7,000 civil servants and the lending to the ZCCM of K 302 billion for the financing of the retrenchment of 7,500 workers and the settlement of arrears.

18. To strengthen the cash management of the budget, the government will establish a **contingency reserve of K 147 billion** in 1999, which will be utilized to offset unforeseen shortfalls in domestic revenue and external program assistance, and to cover unforeseen domestic arrears and interest payments up to the total amount allocated for each quarter. Any remaining amounts in the quarterly contingency reserve would then be allocated in the month following the quarter to projects that could not be funded in the original budget. The contingency reserve will also be used if a tightening of the fiscal stance is needed to counter unexpected macroeconomic developments.

19. The government is strengthening budgetary procedures, notably with respect to spending commitments, cash outlays, and domestic arrears. Two comprehensive audits of domestic arrears, completed in 1998, are being used to build a database for the monitoring and payment of arrears, as well as for the analysis of commitments. In addition, six principal budget management measures will be introduced in 1999:

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[3]Under Statutory Instruments 113, 114, and 116.

[4]Statutory Instrument 115 of September 22, 1998.

- quarterly auditing of arrears and commitments by the Ministry of Finance;
- the establishment of a coordination cell in the Budget Office for cash release and monitoring of ministry monthly returns on commitments, expenditures, and arrears;
- outstanding commitments of ministries at any time must not exceed 10 percent of their warrant limit without the specific agreement of the Permanent Secretary of Budget and Economic Affairs;[5]
- the rationalization of commercial bank accounts held by ministries, and, where appropriate, the transfer of these accounts to the central bank by end-June 1999;
- the completion, by June 30, 1999, of a comprehensive inventory of capital projects, complemented by a review of the management and control of ongoing capital projects; and
- the completion, by end-June 1999, of a feasibility study of a computer-based financial management information system.

B. Monetary and Credit Policy

20. The key *to bringing down inflation* is a **firm control over the growth of money supply**. Taking into account the programmed strengthening in 1999 of the net foreign assets position by almost 23 percent of beginning-of-year broad money, net domestic assets of the banking system will need to be reduced by about 2½ percent of beginning-of-year broad money. To provide sufficient credit to the private sector, which is projected to grow in line with nominal GDP, net bank claims on the government will need to contract by K 109 billion. The increase in treasury bill rates since mid-May 1998 has contributed to our objectives of stabilizing the kwacha and mobilizing financial savings. We will continue to maintain positive real interest rates.

21. With a view to keeping broad money growth within the program targets, the Bank of Zambia (BoZ) will carefully monitor the growth of reserve money. The targeted improvement in the net foreign assets position of the BoZ will require a decline in its net domestic assets of about 4 percent. On November 1, 1997, when the payments clearing house was transferred to commercial banks, the BoZ ended operation of its unsecured overdraft

[5]Violations of this rule will be sanctioned by withholding cash allocations in the following month.

facilities to financial institutions. It will continue to refrain from providing unsecured overdrafts to commercial banks.

C. External Sector Outlook

22. Notwithstanding the projected recovery in metals production and robust growth of nontraditional exports, the **current account deficit** (including official transfers) is expected to widen from an estimated 8 percent of GDP in 1998 to almost 9 percent in 1999. The balance of payments projections assume an average copper price of US$1,507 per ton, copper export volume growth of about 16 percent, and import volume growth of about 13 percent. The growth of imports mainly reflects higher imports of capital goods by the mining sector. With adequate external support, the BoZ will be able to build up its official reserves without putting undue pressure on the exchange rate.

23. The **exchange rate of the kwacha is market determined**, and the BoZ will continue to refrain from interventions in the exchange market that go against underlying market trends. We will closely monitor conditions in the exchange market and price and exchange rate developments in other major countries in the region, and we will adjust policies if exchange rate developments jeopardize the inflation objective or Zambia's external competitiveness.

24. The external financing requirement before Paris Club debt relief is estimated at US$526 million in 1999 (excluding foreign-financed capital expenditure). Of this amount, US$175 million could be covered by World Bank program assistance,[6] US$20 million by the African Development Fund, US$50 million by the European Union, US$50 million by the United Kingdom, and US$12 million by Germany. The remaining financing gap (US$219 million) could be filled by debt relief.

25. The government intends to remain current on all its external debt-service obligations and start discussions with the Paris Club in early 1999 on the rescheduling of debt-service obligations falling due during 1999-2001. We will also make efforts to reach an agreement with Russia on the rescheduling of outstanding debt, consistent with the 1996 Paris Club rescheduling agreement, and with non-Paris Club bilateral official creditors, both on terms at least as favorable as Naples terms. We will also settle in 1999 payments obligations dating from the era of exchange controls that give rise to exchange restrictions under Article VIII of the Fund's Articles of Agreement.

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[6]Disbursement totaling US$170 million from the public sector reform and export promotion credit (PSREP), and US$5 million from IDA reflows.

D. Structural Reforms

Public service reform

26. The program for 1999 envisages that a further reduction in the size of the public service will take place in the context of the restructuring of ministries, the hiving off of government units,[7] and the government's long-term strategy to develop the sustainable capacity needed in the public sector to deliver high-quality services. With the assistance of the World Bank, we have drawn up a detailed implementation plan for the retrenchment of 7,000 public sector employees in 1999 to be achieved through (i) the hiving off of three government institutions with a total of 3,754 employees; (ii) the elimination of 500 positions in restructured ministries; (iii) 645 voluntary separations; (iv) natural attrition of 355 employees (on a net basis); and (v) the compulsory separation of 1,746 contractual daily employees. To ensure that the total cost of retrenchment of pensionable civil servants in 1999 will not exceed K 80 billion, we will adjust the benefits that separated civil servants presently can claim under the Public Service Pensions Act. An actuarial review of civil service pensions, which will specifically correct the anomalies in the various pension options under the present plan, will be submitted to the President by end-April 1999.

27. The monitoring of the targeted reductions in the public service will require reliable payroll data and effective controls on the establishment register. At present, inconsistencies exist between the payroll data of the Ministry of Finance and the establishment register managed by the Cabinet Office. By end-April, 1999, we will submit recommendations on improving the quality of the payroll data and establishing controls. In the meantime, the size of the public service will be monitored on the basis of the payroll data of the Ministry of Finance.

Privatization

28. The government will continue to give high priority to the privatization of state-owned enterprises, including major utility companies, parastatals in the petroleum and transport sectors, and financial institutions. The following specific actions are envisaged in 1999:

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[7]Thus far, the restructuring plans for 12 out of 22 ministries have been approved, and a decision was taken to hive off 3 government institutions. We intend to implement the restructuring plans for the 22 ministries and take a decision regarding the possible divestiture of a further 23 government units, which employ about 2,000 persons, in the first quarter of 1999.

- offering for sale minority shareholding and management rights in ZAMTEL before end-September 1999;
- requesting the ZPA before end-June to study options for the divestiture of ZESCO;
- offering for sale or closing the Zambia National Oil Company (ZNOC);
- before end-September 1999 putting out to tender the granting of concessions of the railway system;
- tendering management rights on the operations of the National Airports Corporation in Livingstone, Ndola, and Mfuwe;
- handing over ZAMPOST and the Njanji Commuter Company by end-June 1999 to the ZPA; and
- ensuring the preparation by ZPA of options for the privatization of the Zambia National Commercial Bank (ZANACO).

Commercial banks

29. Owing to the decline in economic activity, the financial position of the banking system remained weak in 1998. We are addressing this problem by pressing banks to step up their loan recovery efforts and, where appropriate, requiring changes in management in those banks. This policy has already led to a decline in the portfolio of nonperforming loans in recent months. In addition, the supervisory authorities will not hesitate to require new capital injections or the closure of banks that show capital deficiencies. In conjunction with these measures, prudential supervision of commercial banks will be further reinforced in 1999. The BoZ intends to strengthen off-site risk analysis through intensified training of staff and the use of an improved commercial bank database, which will be set up with Fund technical assistance. In addition, we have prepared an amendment to the Banking and Financial Services Act that, inter alia, would strengthen the supervisory powers of the BoZ and extend supervision to nonbank financial institutions. We intend to send a legislative proposal to parliament in early 1999.

30. We aim for the completion of the sales agreement on ZCCM's largest asset packages by end-March 1999. The net amount of short-term debt and suppliers' arrears (after deduction of the privatization receipts) to be repaid by the ZCCM holding company at the time of the transfer of the assets is projected at US$124 million, including US$110 million arrears to the electricity supplier (CEC). This financing gap will be covered in part as follows:

- rescheduling of ZCCM debt to the CEC beyond 1999, amounting to US$50 million; and

- assumption by the government of ZCCM's debt-service obligations to the World Bank, amounting to US$23 million.

31. The net financing gap to be covered by the government is projected at US$51 million. Taken into account the uncertainties with regard to the financial position of the ZCCM, the program for 1999 includes a budgetary provision of K 151 billion (US$65 million) to cover the remaining liabilities emanating from the sale of the assets. If the debt settlement by the government is below this provision, the difference will go toward raising the targeted domestic fiscal surplus in the second quarter of 1999.

Energy pricing

32. Recognizing the importance of a reliable and efficient energy supply for the economy, the government remains committed to the market-based pricing of energy products. The privatization of public enterprises in the energy sector will contribute to this effort by ensuring an environment that fosters competition and efficiency. In support of this objective, regulations make it possible for the private sector to connect to the power grid and import petroleum products. However, given the existing monopolies in the energy sector, oversight of energy pricing will continue to be necessary. To this end, the Energy Regulatory Board (ERB) will henceforth adhere to a price adjustment policy that allows for the adjustment of wholesale and retail petroleum prices in order to reflect costs, including changes in exchange rates and world market prices. With respect to electricity tariffs, prices will be set to reflect underlying costs and a reasonable margin. Price adjustments in energy products will be subject only to ex-post reviews by the ERB on the basis of the aforementioned criteria.

E. Statistical Issues

33. In the recent period, considerable progress has been made in improving the quality of monetary and balance of payments data. The BoZ will attach the highest priority to the elimination of the remaining inconsistencies in the monetary survey and further improve the timeliness of balance of payments data by implementing the recommendations of the November 1997 STA technical assistance mission by, among other things, speeding up the collection of bills of entry forms from customs offices. The Central Statistical Office will eliminate inconsistencies between the revised national accounts data and production data on the agricultural and manufacturing sectors. The Ministry of Finance and the Bank of Zambia will strengthen data reporting on external debt service.

F. Monitoring

34. The progress in the implementation of the government's adjustment program will be monitored on the basis of quantitative and structural performance criteria and benchmarks, as shown in the attached Tables 1 and 2. These include ceilings on (i) increases in net domestic assets of the BoZ, (ii) increases in net bank claims on the government, (iii) the outstanding stock of domestic arrears of the government, (iv) the accumulation of external payments arrears, (v) the contracting of new medium- and long-term nonconcessional public or publicly guaranteed loans, (vi) the stock of short-term debt contracted or guaranteed by the central government and the BoZ, and (vii) the size of the public service. The quantitative performance criteria and benchmarks also include floors on the domestic fiscal balance (cash basis) of the government and the net international reserves of the BoZ. The structural performance criteria and benchmarks relate to (i) the offering for sale of a minority share and management rights in ZAMTEL; (ii) the submission of recommendations on the establishment of an actuarially sound civil service pension system; (iii) the maintenance of positive real interest rates on treasury bills; (iv) the abstention from new tax exemptions, waivers, or preferential tax treatment; and (v) the transfer of the major asset packages of the ZCCM.

35. The Fund will conduct with Zambia two reviews of the annual program based on performance through end-June 1999 and end-December 1999, respectively. The reviews will include an assessment of the macroeconomic framework, progress in public service reform, the implementation of measures to improve expenditure control, privatization, and the strengthening of prudential supervision of the banking sector.

Table 1. Zambia: Quantitative Performance Criteria and Benchmarks During the First Year of the Three-Year Arrangement Under the Enhanced Structural Adjustment Facility, January 1, 1999 - December 31, 1999

	1998	1999			
	Dec.	Performance criteria		Indicative targets	
	Est.	End-Mar.	End-Jun.	End-Sep.	End-Dec.
		(In billions of kwacha; cumulative from January 1, 1999)			
Ceiling on the increase in net domestic assets of the Bank of Zambia 1/ 2/	2,965 11/	-103	-73	-131	-116
Ceiling on the increase in net bank claims on government 2/ 3/ 4/	557 11/	-1	90	-43	-109
Floor on the domestic budget balance of the government 5/	...	6	-115	-81	-44
Ceiling on the outstanding stock of domestic arrears of the government	23	20	13	6	0
		(In millions of U.S. dollars)			
Floor on net international reserves of the Bank of Zambia 6/	-1,180	-1,125	-1,131	-1,104	-1,107
Ceiling on new external payments arrears 7/	0	0	0	0	0
Ceiling on new medium- and long-term nonconcessional loans 8/	0	0	0	0	0
Ceiling on the stock of short-term debt 9/	165	165	165	165	0
		(Numbers of employees)			
Size of the public service 10/	119,500	117,750	116,000	114,250	112,500
Memorandum item:		(In millions of U.S. dollars; cumulative from January 1, 1999)			
Programmed balance of payments assistance	0	118.5	161.3	267.1	307.1

1/ Net domestic assets are equivalent to reserve money minus net foreign assets, calculated at the end-December 1998 U.S. dollar-kwacha exchange rate (US$1=K 2,317).

2/ In case of a shortfall in balance of payments assistance, the ceilings on the increase in net domestic assets and net bank claims on the government will be adjusted upward by the amount of the shortfall with a maximum of US$30 million. The kwacha value of the cumulative shortfall will be calculated at the end-December 1998 U.S. dollar-kwacha exchange rate (US$1=K 2,317).

3/ Net bank claims include the U.S. dollar-denominated foreign exchange bridge loan of the Bank of Zambia to the government. The balance of the loan is calculated at the end-December 1998 U.S. dollar-kwacha exchange rate (US$1=K 2,317).

4/ The ceiling on the increase in net bank claims on the government will be adjusted downward by the difference between the budgetary provision of K 151 billion and the actual payments made by the government for the settlement of ZCCM's short-term debt and arrears, which is expected in the second quarter of 1999.

5/ The floor on the domestic budget balance of the goverment will be raised by the difference between the budgetary provision of K 151 billion and the actual payments made by the government for the settlement of ZCCM's short-term debt and arrears, which is expected in the second quarter of 1999.

6/ Foreign assets of the Bank of Zambia include the balance in the special Bank for International Settlements account established in accordance with the February 1996 Paris Club accord. In case of a shortfall in balance of payments assistance, the floor on net international reserves will be adjusted downward by the amount of the shortfall with a maximum of US$30 million. Net international reserves exclude a US$25 million deposit in Meridien Bank, which is under liquidation.

7/ The injunction against new external payments arrears is continuous.

8/ Loans contracted or guaranteed by the central government or the Bank of Zambia with grant elements of less than 35 percent.

9/ Includes debt contracted or guaranteed by the central government and Bank of Zambia with an original maturity of not more than one year, but excluding normal trade credits for imports.

10/ Measured on the basis of the payroll data of the Ministry of Finance, universities, and teaching hospitals.

11/ Stocks at end-1998.

Table 2. Zambia: Prior Actions, Structural Performance Criteria and Benchmarks During the First Annual Arrangement Under the Enhanced Structural Adjustment Facility, January 1, 1999-December 31, 1999

Prior actions

Substantial progress in the privatization of the copper parastatal (ZCCM).

The revocation of import duty and import value-added tax exemptions granted in September-October 1998 to Telecel, Amanita, and electricity company (ZESCO) (Statutory Instruments 113, 114, and 116).

The adoption of an implementation plan for public service retrenchment in 1999, including detailed information on the mode and cost of retrenchment of public servants, as well as the financing arrangements (including budgetary support) for the hived-off institutions.

Structural performance criteria and benchmarks

Action	Test Dates
The transfer of ownership of the major asset packages of the ZCCM (the Nchanga and Nkana Divisions, and the Konkola Deep mining project).1/	March 31, 1999
The submission to the President of recommendations on the establishment of an actuarially sound civil service pension system.1/	April 30, 1999
The offering for sale of a minority share and management rights in the telecommunications company (ZAMTEL).1/	September 30, 1999
The maintenance of positive real interest rates on treasury bills, as measured by the difference between the three-month moving average of the 28-day treasury bill rate and the annual rate of increase in the consumer price index.2/	End of each quarter
The abstention from new tax reductions, exemptions, rebates, or any other preferential tax treatment, with the exception of the suspension of import duties on agricultural machinery and equipment, and the tax concessions agreed in the context of the privatization of the ZCCM.1/	Continuous

1/ Performance criterion.
2/ Benchmark.

Zambia: Relations with the Fund
(As of January 31, 1999)

I. **Membership Status**: Joined 9/23/65; Article XIV

II. **General Resources Account**:	SDR million	% Quota
Quota	363.50	100.0
Fund holdings of currency	363.50	100.0
Reserve position in Fund	0.02	0.0

III. **SDR Department**:	SDR million	% Allocation
Net cumulative allocation	68.30	100.0
Holdings	0.13	0.2

IV. **Outstanding Purchases and Loans**:	SDR million	% Quota
Structural Adjustment Facility (SAF) arrangements	181.75	50.0
Enhanced Structural Adjustment Facility (ESAF) arrangements	661.68	182.0

V. **Financial Arrangements**:

Type	Approval Date	Expiration Date	Amount Approved (SDR million)	Amount Drawn (SDR million)
ESAF	12/06/95	12/05/98	701.68	661.68
SAF	12/06/95	12/05/96	181.75	181.75
Stand-By	2/21/86	5/15/87	229.80	35.00

VI. **Projected Obligations to the Fund**: (SDR million; based on existing use of resources and present holdings of SDRs):

	Overdue 12/31/98	Forthcoming 1999	2000	2001	2002	2003
Principal	0.0	0.0	0.0	166.7	167.7	168.7
Charges/interest	0.0	6.9	6.9	6.6	5.8	4.8
Total	0.0	6.9	6.9	173.3	173.5	173.5

VII. **Exchange Rate Arrangement**:

The currency of Zambia is the kwacha, which is market determined. The official exchange rate quoted by the central bank is calculated as the weighted-average exchange rate quoted by commercial banks through the Bank of Zambia's dealing window. The Bank of Zambia conducts daily foreign exchange dealing sessions at which it invites bids and offers from authorized dealers (i.e., registered commercial banks). On the basis of the bids and offers received, as well as other considerations, the Bank of Zambia determines the amount of foreign exchange to be sold to, or purchased from, the market. On January 31, 1998, the Bank of Zambia midrate was K 2,533 per U.S. dollar.

VIII. **Article IV Consultations**:

Zambia is on the standard 12-month Article IV consultation cycle; the last Article IV consultation was concluded by the Executive Board on October 8, 1997.

IX. **Technical Assistance**:

Resident advisors

Department	**Dates**	**Position**
MAE	1990-92	Operations Advisor
	1991-93	Head of Banking Supervision
	1991-94	Research Department Advisor
	1993-98	Banking Supervision Advisor
	1993-94	Accounting Department Advisor
	1994	Advisor on Foreign Exchange Operations
	1994-96	Monetary Policy Advisor
	1994-	Senior Operations Advisor
	1998-	Monetary Advisory on Monetary Policies and Investments
FAD	1992-93	Advisor on Tax Administration
	1994	Advisor on Macroeconomic and Fiscal Training
	1997-	Advisor on Budget Management
	1998-	Advisor on Monetary Operations

Technical assistance missions

Department	Dates	Purpose
MAE	September 1992	Banking legislation
	March 1993	Monetary and debt management
	March 1995	Capacity building at the Bank of Zambia
	October 1995	Training in financial programming
STA	May 1993	Balance of payments
	October 1994	Monetary survey
	March 1995	Bank of Zambia balance sheet
	March 1996	Multisector statistics
	June 1997	Monetary survey (combined STA/AFR mission)
	November 1997	Balance of payments
	March 1998	Monetary survey
FAD	January 1994	Introduction of value-added tax (VAT)
	August 1994	Introduction of value-added tax (VAT)
	February 1995	Introduction of value-added tax (VAT)
	November 1996	Budget management

X. **Resident Representative**:

A Fund Resident Representative first took up the position in Lusaka in June 1990. Since August 1998, the Resident Representative has been Mr. Kenneth Meyers.

Zambia: Relations with the World Bank Group

The World Bank Group has provided 87 loans and credits to Zambia since 1953, with total commitments amounting to US$2.6 billion, of which US$2.3 billion had been disbursed by end-January 1999. World Bank operations have supported all the main sectors in the economy.

The main elements of the Bank's strategy are to support efforts to achieve macroeconomic stability and sustainable and equitable growth; ensure sufficient access to imports, and an adequate reserve cushion through maintenance of an appropriate exchange rate and other measures to encourage exports; improve the climate for private sector development through deregulation, provision of infrastructure, and privatization of parastatals; strengthen human resource capacity by rehabilitating the education and health infrastructure and improving the quality of education and health services; implement an effective environmental strategy; and mobilize external resources to support the country's adjustment program.

A summary of the Bank Group's recent financial relations with Zambia is presented below.

Zambia: Status of Recent Bank Group Operations
(As of January 31, 1999)

Loan or Credit No.	Fiscal Year	Borrower	Purpose	Principal	Undisbursed	Closing Date
				(Amount in millions of U.S. dollars, less cancellations)		
			Summary Statement of Loans and IDA Credits			
C24060-ZAM	1992	Zambia	PIRC Technical Assistance	10.0	0.9	09/30/99
C24220-ZAM	1993	Zambia	Marketing and Processing	33.0	9.4	06/30/99
C25350-ZAM	1994	Zambia	Financial and Legal MA	18.0	4.3	06/30/99
C26210-ZAM	1994	Zambia	Petroleum Rehabilitation	30.0	18.5	12/31/01
C26600-ZAM	1995	Zambia	Health Sector	56.0	25.7	12/31/00
C26980-ZAM	1995	Zambia	Agriculture Sector I	60.0	27.7	12/31/99
C27250-ZAM	1995	Zambia	Urban Restructuring and Water	33.0	13.4	12/31/01
C27550-ZAM	1995	Zambia	Social Recovery II	30.0	4.7	12/31/00
C28750-ZAM	1996	Zambia	ERIPTA	23.0	6.1	12/31/01
C29550-ZAM	1997	Zambia	Enterprise Development	45.0	30.4	06/30/02
C29610-ZAM	1997	Zambia	Environment	12.8	9.0	12/31/03
C29930-ZAM	1998	Zambia	National Roads	7.0	49.8	03/31/03
C29930-ZAM	1998	Zambia	Power Rehabilitation	75.0	75.0	12/31/02
C31670-ZAM	1999	Zambia	Public Sector Reform E.P.	170.0	106.6	12/31/00

Statement of Recent IFC Investments (in millions of U.S. dollars) 1/

Loans	Equity	Participants	Total	Held by IFC
9.71	0.72	13.8	25.2	13.6

1/ Includes investments after 1991.

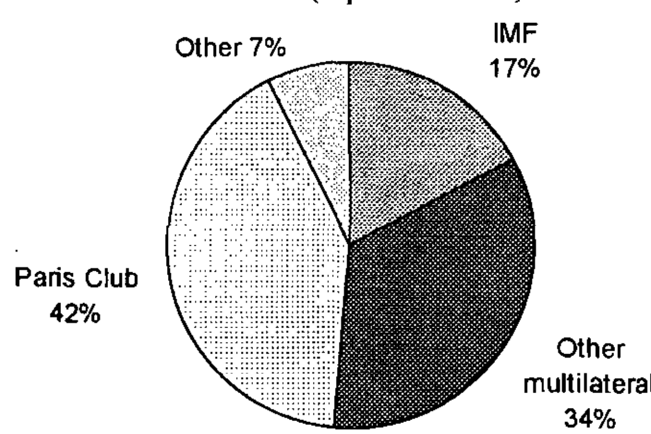
Zambia: Debt Sustainability Analysis

This appendix extends the discussion of Zambia's medium–term prospects in the main text (Section V) and updates the debt sustainability analysis presented in EBS/97/20.[26] In addition, it assesses the sensitivity of the projections to alternative assumptions made about export growth. **All scenarios demonstrate a difficult external financing situation persisting for at least a decade, reflecting both large external current account deficits and unsustainable debt–service obligations. The emergence of a more sustainable position can be envisaged toward the end of the projection period, but only after a decade or more of strong adjustment efforts, continued maximum debt relief from creditors under existing mechanisms, a continued high level of concessional aid and exceptional financing, and a significant flow of foreign direct investments.**

External debt and debt service in 1998

At the end of 1998, Zambia's external public sector debt was estimated at US$6.6 billion (197 percent of GDP), almost equally distributed between multilateral and bilateral creditors (Table 13). In net present value terms, Zambia's debt is estimated to have been at the equivalent of about 510 percent of exports of goods and services in 1998.[27] The public sector's debt service (after assumed flow reschedulings) was equal to 21 percent of export of goods and nonfactor services. Zambia's outstanding public debt has a large grant element, and, since it is an IDA–only country, it is likely that almost all new credits in the medium– to long–term would continue to be on highly concessional terms.

Composition of External Public Debt, End-1998 (In percent of total)



The principal assumptions of the baseline scenario (Table 12) are as follows:

[26] The staff of the World Bank has reviewed this analysis and agrees with the overall assessment.

[27] Based on a currency–weighted discount rate of 5.8 percent.

- Real GDP is projected to grow by almost 5 percent a year in 1999–2001, 5½ percent between 2002 and 2005, and some 4½ percent a year for the remainder of the projection period (1999–2017).

- Exports would grow by 13 percent a year in the period 1999–2001, owing mainly to the strong recovery of the metal sector, and by about 6 percent thereafter. Overall export performance reflects also a significant response of nonmetal exports, which are projected to expand by about 10 percent a year over the 1999–2017 projection period.

- Imports in U.S. dollar terms would expand on average by some 10 percent a year in 1999–2001, reflecting a strong recovery in copper–related private investment, and by about 5½ percent a year thereafter, in line with the projected growth of real GDP.

- Gross official reserves will build up gradually through 2007 to the equivalent of 4 ½ months of imports, and that level will be maintained during the remainder of the projection period. This level of reserves would enable Zambia to cope with exogenous shocks—such as droughts or fluctuations in major commodity prices—and help maintain a relatively stable exchange rate.

- Zambia will benefit from continuous flow reschedulings of Paris Club debt on terms comparable to the 1996 rescheduling agreement (with 67 percent NPV debt reduction).

- The residual financing gaps are assumed to be filled on average on IDA terms.

The baseline scenario

The baseline scenario assumes that Zambia will continue to implement cautious financial policies and deepen structural reforms to further develop an environment conducive to sustained economic growth. Such an environment is expected to attract the capital flows necessary to finance the projected external current account deficit and accumulation of international reserves. The analysis indicates that

- the current account will strengthen steadily over the projection period, reflecting growing copper and nontraditional exports;

- the external debt–service ratio (assuming continuous flow reschedulings) will rise to 30 percent of exports in 2001, when repayments on the outstanding Enhanced Structural Adjustment Facility (ESAF) liabilities to the Fund fall due, but will decline gradually to remain below 25 percent of exports after 2003;

- the ratio of the net present value of external debt to exports will steadily decrease over the projection period but will not fall below 200 percent until 2010; and

- projected financing gaps will be reduced considerably from the peak level of 2002 but remain significant throughout the projection period.

The baseline projections suggest that with a continued strong adjustment effort and further external donor support—although shifting toward project financing and declining overall—Zambia would, over the long run, be able to move to a sustained, export–led growth path. While receipts from metal exports would continue to be the major source of foreign exchange earnings, nontraditional exports (including light manufacturing, cotton, coffee, tea, sugar, and pulses) are expected to gain momentum over the medium term. The external current account deficit (excluding official transfers) is projected to narrow from 20 percent of GDP in 1999 to 10 percent in 2004, before reaching 7 percent by 2017. After peaking at US$450 million in 2002, financing gaps are projected to decline gradually to below US$200 million after 2007.

Sensitivity analysis

In view of the concentration of exports on one major commodity, copper, Zambia's balance of payments prospects are highly vulnerable to external shocks. Table 14 shows two scenarios under alternative assumptions with regard to copper export prices (scenario A) and the growth of nontraditional exports (scenario B).

Scenario A assumes that copper export prices are 10 percent lower than the baseline scenario in each of the years after 1998. In this case, the current account deficit (excluding official transfers) would weaken by an average of 1.5 percentage points of GDP a year throughout the projection period. The average annual financing gap would be about US$52 million larger during 1999–2001 and roughly US$92 million larger thereafter. The debt–service ratio (assuming future flow reschedulings) would be about 0.7 percentage point a year above the baseline throughout the projection period.

Scenario B assumes that nonmetal export volumes will be 5 percent lower than the baseline for each year after 1998. The results show that the external current account deficit on average would deteriorate by roughly ½ of 1 percentage point of GDP a year during the projection period. Over the three years through 2001, the annual average financing gap would be about US$18 million larger, and about US$47 million larger thereafter. The debt–service ratio would be practically the same as in the baseline scenario.

In summary, the debt sustainability analysis shows that Zambia's debt indicators would remain above sustainable levels, according to the criteria used in the Initiative for Heavily Indebted Poor Countries (HIPC Initiative), for a considerable time, even with strong policy efforts and the full use of traditional debt–relief mechanisms. As the alternative scenarios clearly demonstrate, any additional adverse shocks to the Zambian economy would further exacerbate the already difficult external financing situation.

Table 12. Zambia. Balance of Payments Outlook, 1998-2017

(In millions of U.S. dollars, unless otherwise indicated)

	1998	1999	2000	2001	2002	2003	2004	2005	2010	2014	2017
	Est.					Projected					
Current account balance	-269	-281	-362	-302	-296	-269	-188	-212	-306	-449	-386
Excluding official transfers	-509	-632	-604	-550	-549	-529	-453	-484	-612	-786	-747
Exports, f.o.b.	874	940	1,078	1,236	1,334	1,519	1,713	1,779	2,248	2,613	3,083
Metal sector	585	623	707	817	873	1,012	1,154	1,165	1,346	1,363	1,419
Nonmetal sector	288	317	371	419	461	507	558	614	902	1,250	1,664
Imports, c.i.f.	-1,022	-1,173	-1,280	-1,377	-1,464	-1,544	-1,630	-1,721	-2,256	-2,809	-3,301
Metal sector	-216	-330	-413	-438	-456	-455	-456	-456	-500	-577	-634
Nonmetal sector	-806	-843	-867	-939	-1,008	-1,089	-1,174	-1,265	-1,756	-2,232	-2,667
Services balance	-347	-384	-384	-390	-400	-480	-510	-516	-573	-557	-495
Factor services (net)	-193	-217	-220	-223	-231	-294	-306	-318	-385	-450	-506
Of which: interest payments	-179	-199	-199	-197	-197	-197	-192	-189	-185	-174	-171
Nonfactor services (net)	-154	-166	-164	-167	-169	-186	-204	-198	-188	-107	11
Unrequited transfers (net)	226	335	224	229	233	236	240	245	275	304	327
Of which: official 1/	240	351	242	249	253	259	266	272	306	336	361
Capital account balance	-5	171	69	92	128	160	205	268	338	337	300
Official loan disbursement (net)	-45	109	-153	-156	-156	-153	-115	-58	-22	-52	-113
Of which: program loans 1/	0	195	0	0	0	0	0	0	0	0	0
Private capital (net)	40	62	222	248	284	313	319	326	360	389	413
Of which: direct investment	219	250	285	327	344	361	368	375	415	449	476
Errors and omissions	25	0	0	0	0	0	0	0	0	0	0
Overall balance	-249	-111	-294	-209	-168	-109	17	56	31	-112	-85
Financing	249	-108	-120	-116	-283	-288	-292	-279	-130	-79	-87
Change in net international reserves of Bank of Zambia (- increase)	162	-73	-92	-91	-268	-273	-277	-264	-115	-69	-77
Change in net foreign assets of commercial banks	-34	-36	-28	-24	-15	-15	-15	-15	-15	-10	-10
Debt relief 2/	122	0	0	0	0	0	0	0	0	0	0
Net change in arrears (+ increase) 3/	0	0	0	0	0	0	0	0	0	0	0
Financing gap (+) 4/	0	219	413	325	450	396	275	224	99	191	174
Memorandum items.											
Current account balance (percent of GDP)	-8.0	-8.8	-10.7	-8.3	-7.5	-6.4	-4.1	-4.3	-4.5	-5.1	-3.6
Excluding official transfers	-15.2	-19.8	-17.8	-15.2	-14.0	-12.5	-10.0	-9.9	-9.0	-9.0	-7.0
Export volume (percentage change)	-12.4	11.8	11.8	7.0	4.9	10.8	10.1	2.5	8.0	3.7	4.8
Import volume (percentage change)	-10.2	13.2	7.2	6.5	5.2	4.5	4.5	4.5	4.5	4.9	4.5
Terms of trade (percentage change)	-10.3	-5.1	0.8	6.0	1.9	1.7	1.3	0.3	0.3	0.2	0.1
Copper volume (thousands of MT)	259	300	330	347	357	399	442	440	472	450	448
Copper price (US$/lb)	0.75	0.68	0.70	0.79	0.82	0.85	0.88	0.90	0.97	1.03	1.07
Gross official reserves 5/	44	165	306	403	430	460	491	519	1,040	1,283	1,502
(in months of imports)	0.4	1.4	2.3	2.8	2.8	2.8	2.9	2.9	4.4	4.4	4.4

Sources: Zambian authorities; and Fund staff estimates and projections.

1/ Projections for program grants and loans reflect existing commitments and preliminary indications for 1999.
2/ Reflects 1996 Paris Club rescheduling agreement and comparable terms from other bilateral creditors, as well as the May 1997 restructuring of Camdex's (a foreign debt-trading company) claim on the Bank of Zambia.
3/ Excluding changes in arrears to the Fund, which are reflected in the "IMF net" category and in changes in net reserves.
4/ The financing gaps shown do not reflect any new rescheduling from Paris Club creditors.
5/ Gross reserves include balance in special Bank of International Settlements account established in accordance with the 1996 Paris Club accord, and excluding the Meridien Bank deposits of US$25 million.

Table 13 Zambia: Key Indicators of Official External Indebtedness, Selected Years 1998-2017

	1998	1999	2000	2001	2002	2003	2004	2005	2010	2014	2017
	Est					Projected					
					(In millions of U.S dollars)						
Total debt service due 1/	326	394	450	688	690	690	653	588	381	342	396
Principal	136	202	258	500	505	508	477	417	226	206	270
Interest	191	193	192	187	185	182	176	171	154	136	126
Scheduled debt service on existing debt	297	356	399	625	611	594	544	469	203	115	122
Principal	136	202	258	500	504	503	470	409	170	98	107
Multilateral 2/	71	50	48	288	290	292	296	294	107	63	64
Bilateral	65	151	210	212	214	211	174	114	63	34	43
Paris Club	30	129	202	206	208	207	171	112	62	34	43
Other	35	22	8	6	5	4	3	3	1	0	0
Interest	161	154	141	124	108	91	73	60	33	18	15
Multilateral 2/	50	47	46	44	40	36	33	29	16	11	9
Bilateral	112	107	96	81	68	55	41	31	17	7	5
Paris Club	108	105	94	79	67	54	40	30	17	6	5
Other	4	3	1	1	1	1	1	1	1	1	1
Debt service on new borrowing	29	39	50	63	79	96	109	120	178	226	274
Principal	0	0	0	0	1	5	7	9	56	108	163
Interest	29	39	50	63	77	91	102	111	121	118	111
Debt service payable after rescheduling 3/	205	175	167	417	429	443	455	458	312	311	357
Principal	115	82	65	304	306	311	316	315	173	181	235
Interest	89	93	102	112	122	132	139	144	139	130	122
					(In percent of exports of goods and nonfactor services)						
Debt service due 1/	33	37	37	49	45	40	34	29	14	11	10
Of which: multilateral institutions	13	10	8	24	22	20	17	16	6	4	4
Debt service payable 3/	21	16	14	30	28	26	23	23	12	10	9
Net present value of debt 4/	510	467	431	391	338	303	265	246	178	144	119
Memorandum items.											
Total debt stock (millions of U S dollars) 5/	6,613	7,056	7,244	7,490	7,478	7,453	7,394	7,286	7,154	6,848	6,557
Total debt stock 6/	673	663	591	533	492	432	380	358	269	215	170
Exports of GNFS (millions of U.S. dollars)	983	1,065	1,226	1,404	1,521	1,727	1,943	2,035	2,644	3,184	3,866
Nominal GDP (millions of U.S. dollars)	3,352	3,197	3,397	3,630	3,923	4,224	4,549	4,900	6,773	8,775	10,657

Sources: Zambian authorities; and Fund staff estimates and projections.

1/ Scheduled debt service plus debt service on assumed flow reschedulings.

2/ Including IMF.

3/ After assumed flow reschedulings. Assumes continuous Paris Club flow reschedulings on Naples terms with a 67 percent net present value reduction, and topping up of maturities under the 1990 and 1992 Paris Club agreements, as well as comparable terms from other bilateral creditors

4/ Ratio of net present value of debt (after consecutive flow reschedulings, calculated using a currency-weighted discount rate of 5 8 percent) to current-year exports of goods and nonfactor services

5/ Stock of public and publicly guaranteed debt at end of period

6/ As percent of export of goods and nonfactor services (GNFS)

Table 14. Zambia: Sensitivity Analysis of Alternative Scenarios, 1998-2017

	1998	1999	2000	2001	2002	2003	2004	2005	2010	2014	2017
	Est.					Projected					
Baseline projections											
Current account balance 1/	-8.0	-8.8	-10.7	-8.3	-7.5	-6.4	-4.1	-4.3	-4.5	-5.1	-3.6
Excluding official transfers1/	-15.2	-19.8	-17.8	-15.2	-14.0	-12.5	-10.0	-9.9	-9.0	-9.0	-7.0
Exports 2/	-26.6	7.6	14.7	14.7	7.9	13.9	12.7	3.9	9.5	4.9	6.0
Of which: copper exports 2/	-33.6	4.9	13.2	18.5	6.9	15.9	14.7	0.9	10.4	0.7	1.7
nonmetal sector	-2.5	10.0	17.0	13.0	10.0	10.0	10.0	10.0	8.0	10.0	10.0
Residual financing gap 3/	25	219	413	325	450	396	275	224	99	191	174
Debt-service ratio 4/	21	16	14	30	28	26	23	23	12	10	9
Net present value debt ratio 5/	510	467	431	391	338	303	265	246	178	144	119
Scenario A 6/											
Current account balance 1/	-8.0	-10.2	-12.2	-10.0	-9.2	-8.2	-6.0	-6.1	-6.0	-6.3	-4.6
Excluding official transfers1/	-15.2	-21.2	-19.3	-16.8	-15.7	-14.3	-11.9	-11.7	-10.5	-10.1	-8.0
Exports 2/	-26.6	2.4	14.8	14.5	8.0	13.7	12.6	4.0	9.4	5.1	6.2
Of which: copper exports 2/	-33.6	-5.6	13.2	18.5	6.9	15.9	14.7	0.9	10.4	0.7	1.7
nonmetal sector	-2.5	10.0	17.0	13.0	10.0	10.0	10.0	10.0	8.0	10.0	10.0
Residual financing gap 3/	0	264	464	386	515	471	362	311	200	293	279
Debt-service ratio 4/	21	17	14	31	29	27	25	24	12	10	9
Net present value debt ratio 5/	510	487	449	407	352	316	277	256	185	148	122
Scenario B 7/											
Current account balance 1/	-8.0	-9.3	-11.2	-8.9	-8.1	-7.0	-4.7	-5.0	-5.2	-5.8	-4.4
Excluding official transfers1/	-15.2	-20.3	-18.3	-15.7	-14.6	-13.1	-10.6	-10.5	-9.7	-9.7	-7.8
Exports 2/	-26.6	5.8	14.6	14.7	7.9	13.9	12.8	3.8	9.5	4.8	5.9
Of which: copper exports 2/	-33.6	4.9	13.2	18.5	6.9	15.9	14.7	0.9	10.4	0.7	1.7
nonmetal sector	-2.5	4.5	17.0	13.0	10.0	10.0	10.0	10.0	8.0	10.0	10.0
Residual financing gap 3/	0	235	432	346	473	422	303	254	144	254	257
Debt-service ratio 4/	21	17	14	30	29	26	24	23	12	10	9
Net present value debt ratio 5/	510	473	437	396	343	306	268	249	181	147	121

Sources: Zambian Authorities; and Fund staff estimates and projections.

1/ As percent of GDP.
2/ *Annual percentage change in U.S. dollar terms.*
3/ In millions of U.S. dollars.
4/ Ratio of debt service after rescheduling (including assumed future flow reschedulings) to current-year exports of goods and nonfactor services.
5/ Ratio of net present value of debt (after consecutive flow reschedulings) to current-year exports of goods and nonfactor services.
6/ Copper export prices are assumed to be 10 percent lower than the baseline for each year after 1998.
7/ Nonmetal export volumes are assumed to be 5 percent lower than the baseline for each year after 1998.

Zambia: Statistical Issues

Institutional organization

The present arrangements for the compilation of macroeconomic statistics involve duplication of effort and insufficient coordination among the Bank of Zambia (BoZ), the Ministry of Finance, and the Central Statistical Office (CSO). To a large extent, this situation has arisen because of organizational problems within the CSO that have affected its ability to produce economic statistics on a timely basis.

Real sector

There remain weaknesses in Zambia's statistical system that undermine the authorities' ability to monitor economic developments and formulate policies. Recently, national accounts data for the period 1994–97 have been revised on the basis of the 1994 survey of industrial production. However, low response rates to these surveys have raised doubts about the reliability of the national accounts data.

Consumer, wholesale, and building materials price indices are calculated in conformity with international standards. A new consumer price index based on the 1993–94 household survey was released in 1996, calculated back to 1985. However, owing to lack of resources, the CSO has not been able to replace the wholesale price index currently based on 1966 weights, with a producer price index or to revise the price index for building materials.

Monthly trade statistics from customs records have not been reported for publication in *International Financial Statistics (IFS)* on a timely and consistent basis, owing to the delays in transmitting customs documents to the CSO. The delays in publication of trade data forced the BoZ to start compiling trade statistics independently. To improve the information flow from customs posts, the CSO plans to start using the distribution system of the Zambian Revenue Authority.

Government finance

Zambia has resumed compilation of government finance statistics (GFS) data, and it appears that the quality of the reported data has improved; Zambia's GFS data have been updated to 1997 for final data and to 1998 for forecast data. However, the coverage of the data for 1989–98 is limited to budgetary central government.

The authorities report monthly budget data for the Fund's operational use in a timely manner. However, data are often subject to substantial revisions later in the year. No monthly or quarterly fiscal data are reported for publication in *IFS*. Local government fiscal data are not available.

Monetary accounts

There has been progress made in the compilation and reporting of monetary statistics, and the monetary survey is published on a monthly basis. The BoZ has also eliminated discrepancies between its own records of IMF accounts and data from the Treasurer's Department of the IMF.

Nonetheless, additional work is needed on monetary statistics. In particular, the BoZ needs to reconcile its data on credit to commercial banks with those reported by banks. Also, further improvements in accounting procedures and computerization are desirable to ensure that transactions and balances in foreign currencies are properly valued.

Balance of payments

The data currently provided suffer from incomplete coverage and methodological problems. The only reliable data have been on government transactions and those of the state mining, electricity, and oil companies. In March 1996, the STA multisector statistics mission noted that, in addition to parastatal and private sector stocks and flows, direct investment transactions were poorly recorded in the balance of payments. Weaknesses were also noted in the data for official external debt and grants. Moreover, two sets of trade statistics are currently in existence, compiled by the CSO and the BoZ, respectively.

In November 1997, a STA technical assistance mission found that the CSO, which is officially responsible for balance of payments compilation, is unable to do so now or in the foreseeable future. The mission made several specific recommendations for improvements in data collection, especially with regard to external debt, and urged the Bank of Zambia to make a more substantial and longer–term commitment to balance of payments compilation. The latter step was considered necessary to permit the introduction of balance of payments surveys and improve reporting of foreign exchange transactions made through the banking system.

Zambia: Survey of Reporting of Main Statistical Indicators
(As of end-January, 1999)

	Exchange Rates	International Reserves	Reserve/ Base Money	Central Bank Balance Sheet	Broad Money	Treasury Bills Interest Rates	Consumer Price Index	Exports/ Imports	Current Account Balance	Overall Government Balance	GDP/GNP	External Debt/ Debt/ Service
Date of latest observation	2/99	2/99	1/99	12/98	12/98	2/99	1/99	9/98	1997	12/98	1998	1/99
Date received	2/99	2/99	1/99	2/99	2/99	2/99	2/99	11/98	4/98	1/99	11/98	2/99
Frequency of data 1/	D	D	D	M	M	D	M	Q	A	M	A	W
Frequency of reporting 1/	D	D	D	M	M	D	M	Q	A	M	A	W
Source of data 2/	A	A	A	A	A	A	A	A	A	A	A	A
Mode of reporting 3/	C	C	C	C	C	C	C	C	C	C	C	C
Confidentiality 4/	C	C	C	C	C	C	C	C	C	C	C	C

1/ D - Daily; W - Weekly; M - Monthly; Q - Quarterly; and A - Annual.
2/ A - Direct report by the authorities.
3/ C - Cable or facsimile.
4/ C - Unrestricted use.

Zambia: Social and Demographic Indicators

Area (thousand sq. km)	753
753,000 square kilometers	
Population characteristics (1995)	
Population density (per sq. km)	12
Urban population (percent of total)	45
Proportion in capital city (as a percentage of urban population)	33
Population age structure (percent)	
0-14 years	46.8
15-64 years	53.0
65 and above	0.2
Income distribution (1993)	
Percent of national income	
Highest quintile	50.4
Lowest 20 percent	5.6
Population below the poverty line	86
Access to safe water (1994-95)	
Percent of population	47
Nutrition (1991-94)	
Per capita calorie intake per day	2,083

Population (1997)	
Total (million)	9.4
Annual rate of growth (percent)	
1980-1995	3.0
1995-2010	2.1
Health	
Life expectancy at birth (years) (1995)	46
Infant mortality (per 1,000 live births) (1995)	109
Population per physician (1993)	10,917
Population per nursing person (1993)	4,937
GDP per capita (1997)	
In SDRs	314
Labor force (1995)	
Female (percent)	47
Agriculture (percent) (1990)	75
Industry (percent) (1990)	9
Education (1995)	
Percent of age group	
Primary school enrollment	98
Secondary school enrollment	18
Enrollment in tertiary education (1992)	2

Sources: World Bank, *World Development Report*, 1997; and Fund staff estimates.

Public Information Notice (PIN) No. 99/..
FOR IMMEDIATE RELEASE

International Monetary Fund
Washington, D. C. 20431 USA

IMF Concludes Article IV Consultation with Zambia

On March 25,1999, the Executive Board concluded the 1998 Article IV consultation with Zambia.[1]

Background

Zambia embarked on its structural adjustment program in late 1991, with a view to transforming a state-led, stagnating economy into a growing market economy. Comprehensive reforms were implemented, including far-reaching trade and exchange liberalization, a liberalization of agricultural policies, an ambitious privatization program, civil service reform, and a strengthening of the legal framework. Much has been accomplished over the past seven years as the macroeconomic situation has improved appreciably. Nonetheless, these accomplishments have been overshadowed by limited success in significantly reducing the incidence of poverty.

1. **Real GDP growth**, which averaged 5 percent per year during 1996-97, turned negative in 1998. Production problems and a further worsening of the financial position of the copper parastatal (ZCCM), in conjunction with an El Niño-related drop in the cereal harvest, slowed overall economic activity by 2 percent.

2. Higher food prices, coupled with the pass-through effects of the sharp depreciation of the kwacha, led to a rise in **consumer price inflation**, to an annual rate of 31½ percent in January 1999, from 18½ percent in December 1997.

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[1]Under Article IV of the IMF's Articles of Agreement, the IMF holds bilateral discussions with members, usually every year. A staff team visits the country, collects economic and financial information, and discusses with officials the country's economic developments and policies. On return to headquarters, the staff prepares a report, which forms the basis for discussion by the Executive Board. At the conclusion of the discussion, the Managing Director, as Chairman of the Board, summarizes the views of Executive Directors, and this summary is transmitted to the country's authorities. In this PIN, the main features of the Board's discussion are described.

3. Owing to revenue shortfalls and expenditure overruns on wages, public service retrenchment and the clearance of arrears, domestic **fiscal operations** (i.e., the fiscal operations excluding external transactions) showed a cash surplus of 0.4 percent of GDP in 1998, against a budget surplus target of 1.2 percent of GDP.

4. The **external position** weakened considerably in 1998, reflecting, inter alia, lower exports, shortfalls in donor assistance, and the loss of confidence resulting from the delays in the privatization of the main assets of the ZCCM. As a result, the kwacha depreciated sharply, and gross international reserves declined from US$213 million at end-1997 to US$44 million at end-1998 (less than two weeks of import cover).

5. Further progress was made on the privatization of parastatals. Most of the smaller asset packages of the ZCCM were sold, and a preliminary agreement was reached on the sale of the largest packages. Under the government's public service reform program, 15,500 public servants were separated during 1997-98.

6. **The program for 1999** aims to achieve real GDP growth of 4 percent; reduce inflation to 15 percent; and strengthen net international reserves by US$73 million. Fiscal policy will be geared toward reducing inflation and supporting growth by allocating an increasing share of resources to social expenditure and public investment. The program aims to reduce the overall fiscal deficit by 1 percentage point of GDP to 3.2 percent of GDP, exercise firm control over the growth of the money supply, and maintain positive real interest rates on treasury bills. Key structural components of the program are in the areas of expenditure control, privatization, civil service reform, and a further strengthening of the banking system.

Public Information Notices (PINs) are issued, at the request of a member country, following the conclusion of the Article IV consultation for countries seeking to make known the views of the IMF to the public. This action is intended to strengthen IMF surveillance over the economic policies of member countries by increasing the transparency of the IMF's assessment of these policies.

Zambia: Selected Economic Indicators, 1995-99

	1995	1996	1997	1998	1999 1/
Output and prices (change in percent)					
Real GDP	-2.3	6.6	3.3	-2.0	4.0
Consumer prices (period average)	34.9	43.1	24.4	24.5	21.6
Investment and savings (percent of GDP)					
Gross investment	13.1	14.8	13.6	14.4	17.6
Public investment	6.6	6.0	5.4	7.7	8.5
Private investment	6.5	8.7	8.2	6.7	9.0
Gross domestic savings	7.3	8.5	8.0	5.4	5.2
Public domestic savings	3.6	2.6	3.2	2.4	0.5
Private domestic savings	3.7	5.9	4.7	3.1	4.7
Central government finance (percent of GDP)					
Total revenue and grants	29.1	26.8	24.8	24.5	27.8
Total expenditure and net lending	32.9	29.4	26.8	28.8	31.0
Overall government deficit (excluding grants)	-13.0	-8.7	-7.0	-10.7	-12.3
Overall government deficit (including grants)	-3.8	-2.6	-1.9	-4.3	-3.2
Primary balance (including grants)	4.3	2.2	2.2	-1.0	-0.9
Total domestic public debt outstanding	...	11.7	10.0	14.3	10.0
Money and credit					
Broad money (end-of-year; percent change)	55.3	34.4	23.9	18.5	20.4
Treasury bill yield (91 days; period average; in percent)	...	52.5	30.6	26.6	30.7
External sector (percent of GDP)					
Current account (including official transfers)	-4.2	-3.7	-6.2	-8.0	-8.8
Current account (excluding official transfers)	-13.4	-13.0	-11.2	-15.2	-19.7
Total foreign public debt outstanding	197	210	179	197	221
Exchange rates					
Zambian kwachas per U.S. dollar (period average)	865.9	1,207.5	1,314.6	1,861.8	...
Real effective exchange rate (1995=100)	100.0	104.6	125.3	114.4	...

Sources: Zambian authorities; and Fund staff estimates and projections.

1/ Staff projections.